



DTB

**DIAMOND
TRUST
BANK**

INVESTOR PRESENTATION FY 2020

ENRICHING LIVES



WHO WE ARE

VISION



Enabling people to advance with confidence and success.

VALUES



MISSION



To make our customers prosper, our staff excel and create value for our stakeholders.

Customer Centric - Deliver Great Experiences

- We value our customers and develop products and services around their needs
- We provide exceptional service to all we serve
- We understand and respect our customers
- We deliver solutions that add value to our customers' lives
- We consider the impact of our policies and decisions on our customers
- We endeavor to be fully transparent with our customers

Value People - Respect, Empower, Appreciate

- We treat our people equitably and make decisions on merit
- We invest in people and provide opportunities for learning and growth
- We empower people to do what is needed for success
- We provide a positive and collaborative work environment
- We celebrate our successes and recognise people for their contributions
- We encourage and embrace diversity

Integrity - Be Ethical and Fair

- We honour our commitments and do what is right
- We are fair, respectful and honest at all times
- We are ethical in our decisions and interactions
- We take responsibility for our actions
- We are prudent and responsible with the assets entrusted to DTB

Progressive - Innovate and Challenge

- We challenge our thinking to raise the bar
- We encourage our team members to question the status quo
- We innovate and adapt to change
- We positively impact and serve the communities in which we live

Excellence - Be Your Best

- We take ownership of what we do
- We relentlessly pursue quality without compromise
- We consistently adhere to measurable standards and look for ways to exceed them
- We benchmark against the best

DTB GROUP STRUCTURE & FOOTPRINT

as at December 2020



639,580

Customers

	: 257,997
	: 221,022
	: 162,749
	: 2,812



2,231

Employees

	: 1,027
	: 531
	: 626
	: 47



134

Branches

	: 69
	: 28
	: 33
	: 4



157

ATMs

	: 67
	: 39
	: 51

Who We Are

Macro Economic
Highlights

DTB's COVID-19
Response to
Key Stakeholders

DTB's Strategy-
DTB Vision 2020

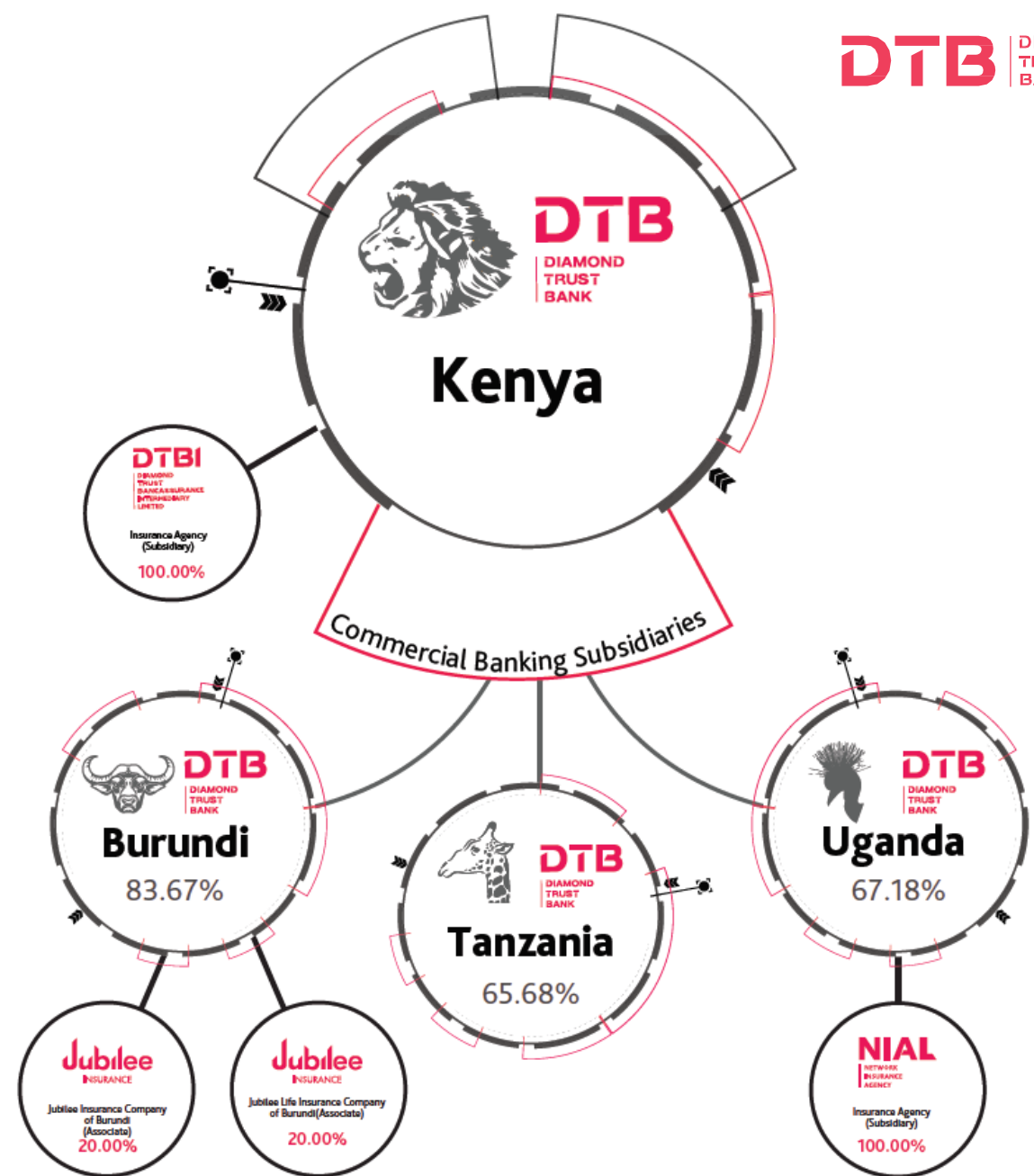
Managing Risks
and Building Resilience

Remodeling the Business
Pivoting to Digital

Financial
Performance

Outlook 4

DTB | DIAMOND
TRUST
BANK



WHAT DIFFERENTIATES DTB

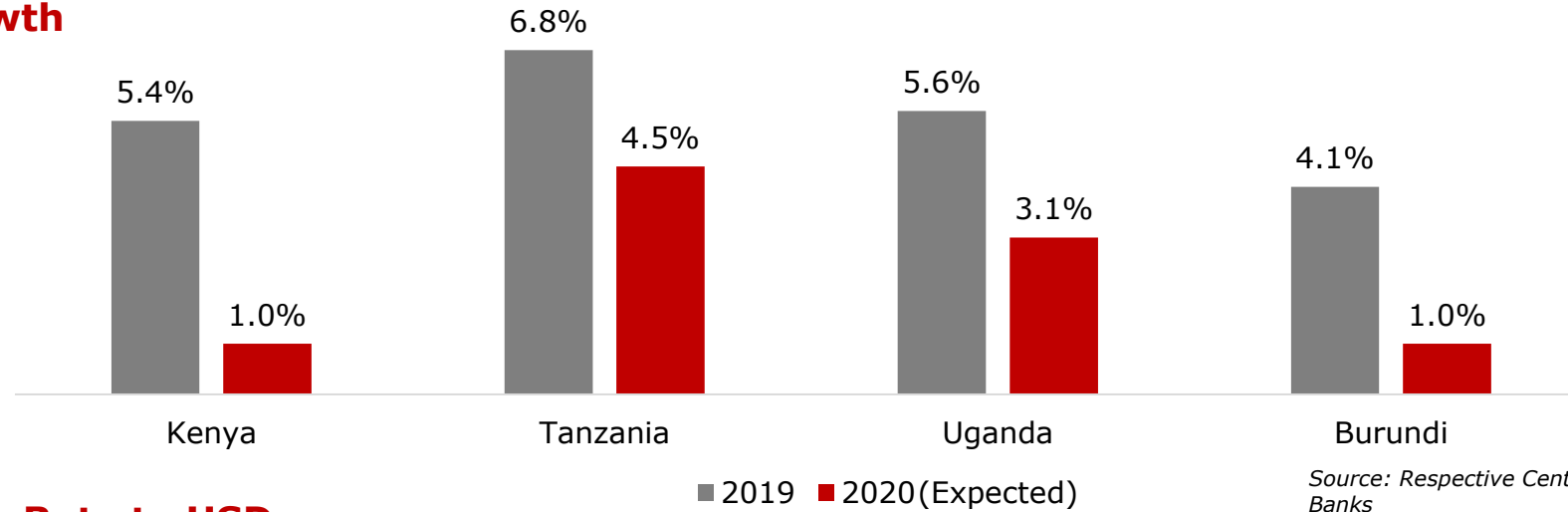


MACRO- ECONOMIC HIGHLIGHTS

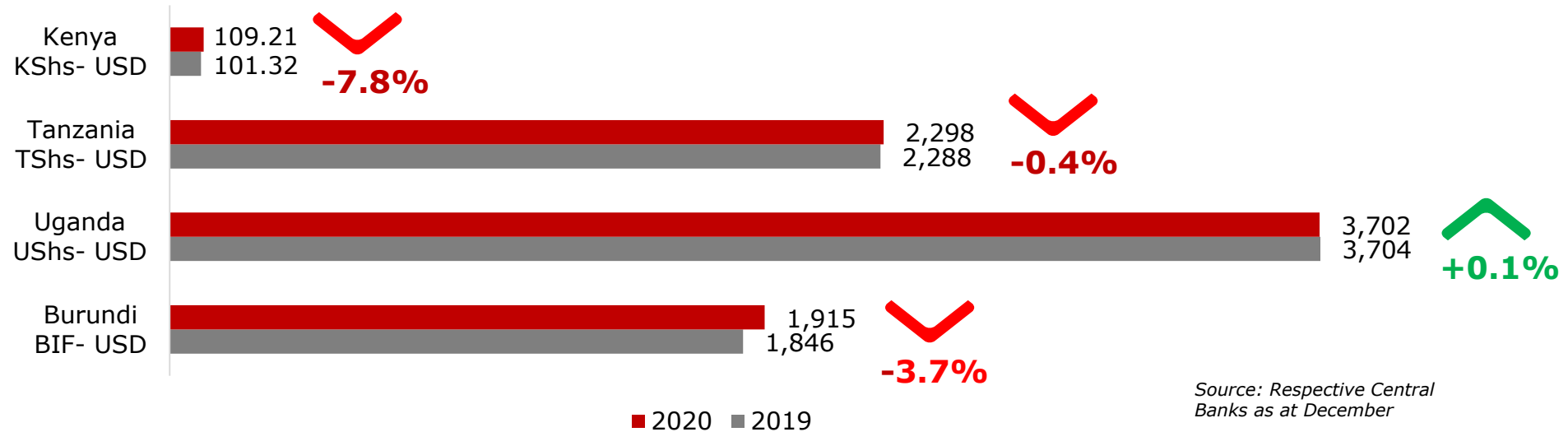


MACRO- ECONOMIC HIGHLIGHTS- EAST AFRICA

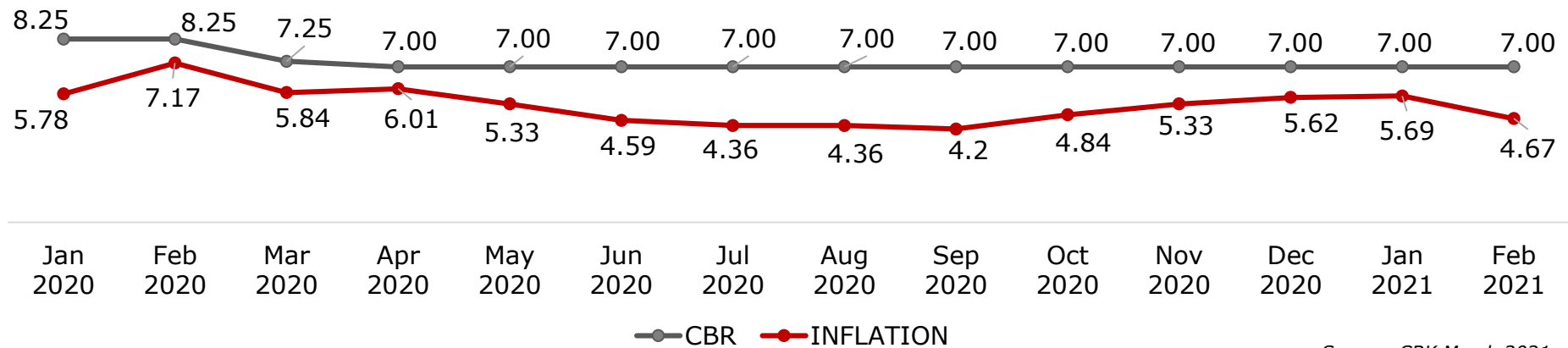
GDP Growth



Exchange Rate to USD

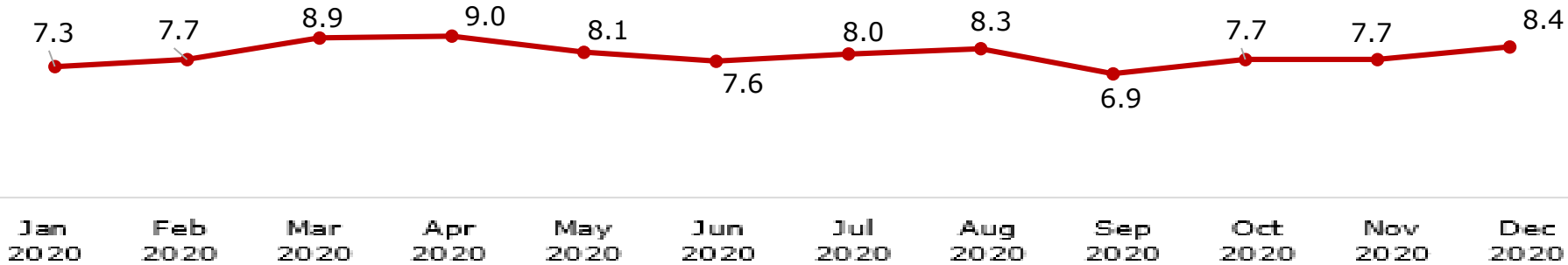


Trend in Inflation and Central Bank Rate (%)



Source: CBK March 2021

12 Month Private Sector Credit Growth (%)



Source: CBK (December 2020)

**DTB's COVID-19
RESPONSE TO KEY
STAKEHOLDERS**



DTB's COVID-19 RESPONSE TO KEY STAKEHOLDERS



Community



- Committed the equivalent of over KShs 100 million to COVID support in East Africa, of which KShs 50 million was contributed to the National Emergency Relief Fund in Kenya and US\$ 250 million to the National Response Fund in Uganda. (supporting more than 30,000 economically vulnerable households across East Africa).



- Boreholes built in Mombasa and Migori counties of Kenya for sustainable and safe water supply.



Employees



- KShs 5 million committed towards feeding front-line workers in partnership with Serena Hotels for Kenyatta National Hospital and Mbagathi Isolation Facility in Nairobi.



Customers



- Contributed towards the set up of the Aga Khan University Hospital field hospital in Nairobi and Aga Khan Hospital Infectious Diseases Unit in Dar es Salaam.

Supported over
30,000
economically
vulnerable
households
across East
Africa

DTB's COVID-19 RESPONSE TO KEY STAKEHOLDERS



Customers

Repayment holidays granted for facilities valued at
KShs 82 billion



Community



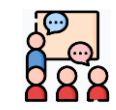
Employees



• Repayment holidays granted for facilities valued at KShs 82 billion (37% of loan book) across the Group.



• Provided easier access to credit to MSMEs for working capital and asset purchases under the Credit Guarantee Scheme sponsored by the National Treasury in Kenya. DTB has committed to extend credit of up to KShs 1.6 billion to such businesses in 2021.



• Offered financial literacy training to over 120 customers.



• Waived charges on transfers from Bank account to mobile money wallets. (Nearly KShs 120 million foregone in mobile banking commissions)



• Continued to pay our suppliers within 30 days from invoice for services rendered.



• Enhanced our mobile banking channel to support customers to transact remotely as we support efforts to 'flatten the curve' by introducing contact-free banking services.



• Applied health and hygiene and social distancing protocols in DTB premises across the region, providing a safe environment for customers amongst others.

DTB's COVID-19 RESPONSE TO KEY STAKEHOLDERS



Employees



- Segregation of teams into different workspaces across the Group.



- Investment of KShs 34 million on staff protective equipment such as facemasks, hand sanitisers, thermometers and PPEs at DTB workplaces across East Africa.



- COVID-19 awareness and de-stigmatisation sessions targeting all employees.



- Partnered with healthcare providers to offer free COVID-19 testing of staff.



- Offered counseling services and psychological support to staff.



Community



Customers

Investment of
KShs 34 million on
staff protective
equipment

DTB's APPROACH TO SUSTAINABILITY

DTB's approach to sustainability involves connecting directly with people and making a lasting impact on their lives. DTB gives careful consideration to the impact of our business activities on the interests of our stakeholders— customers, employees, the larger community and shareholders. We strive to create sustainable social and economic value by delivering delightful and lasting experiences to all those we interact with.

The Bank continues to track progress in 10 of the 17 UN SDGs. More details of the same can be found on the Bank's website by visiting: <https://dtbk.dtb africa.com/annual-financial-reports>

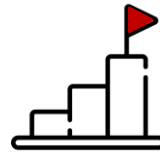


DTB's Strategy- DTB VISION 2020

Our business strategy, *DTB Vision 2020*:

- envisioned DTB as a 'one- bank, one customer' omnichannel regional bank.
- entailed providing seamless and consistent customer experience, across borders, through a multiplicity of channels – traditional (branches, agency banking, etc.)
- incorporated digital channels (enriched mobile banking and enhanced on-line banking platforms, cards, cash management solutions, digital branches, social media channels, etc.)

DTB Vision 2020

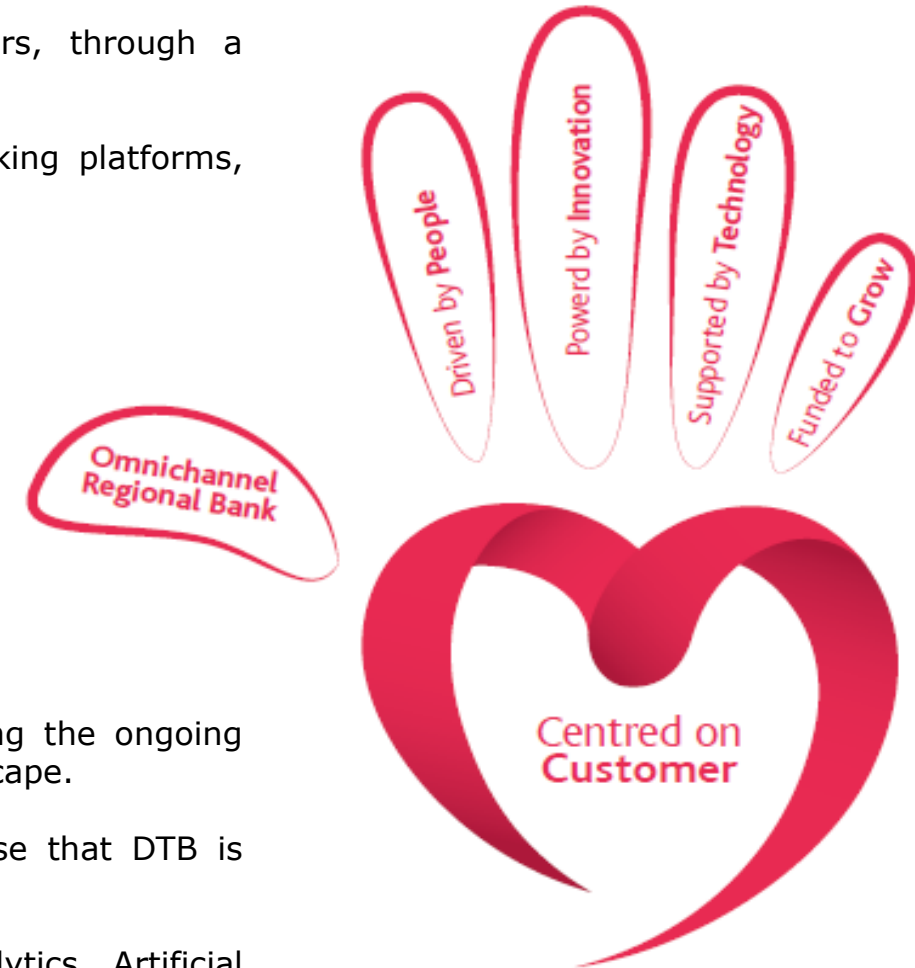


Achieved

DTB Strategy 2030



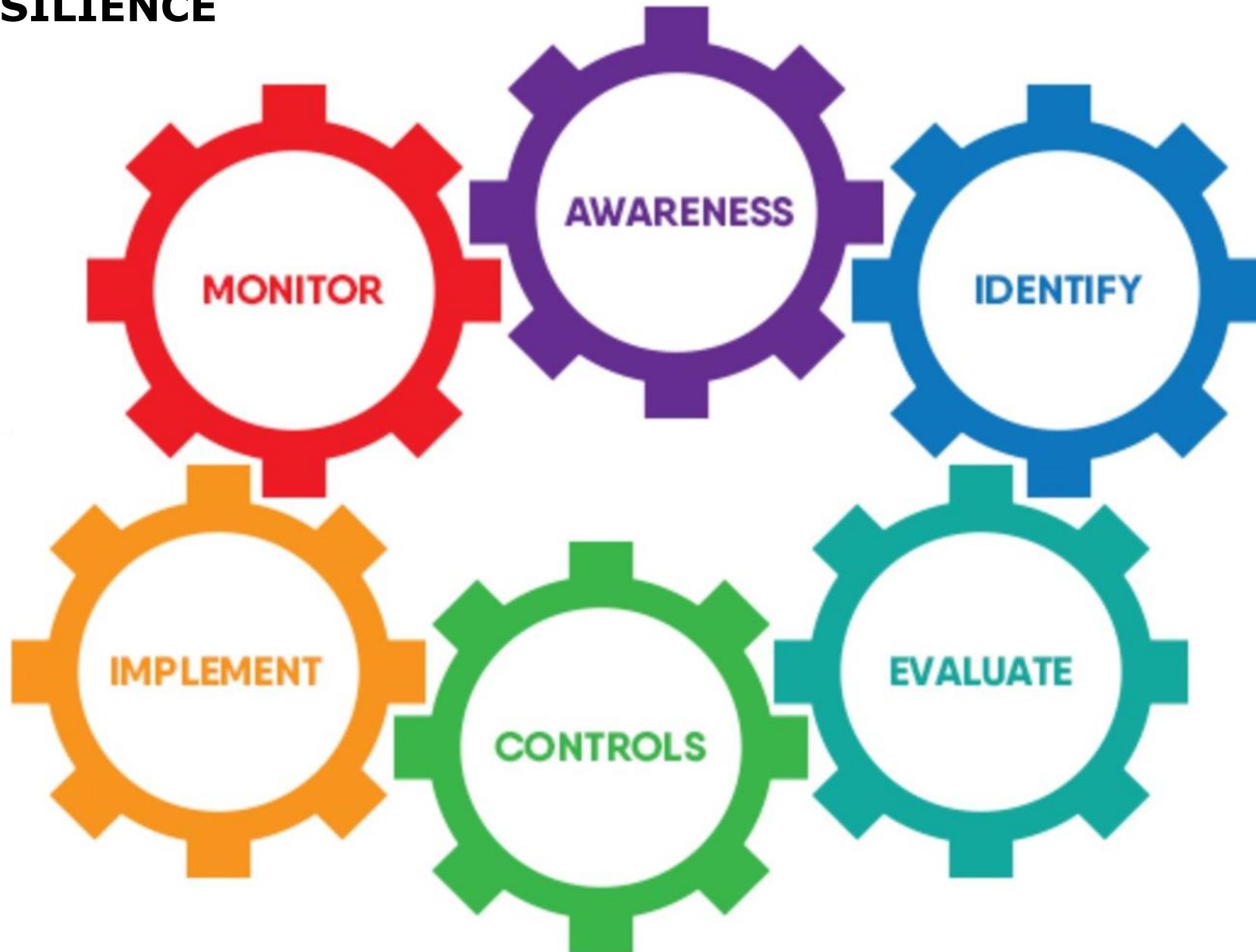
In Progress



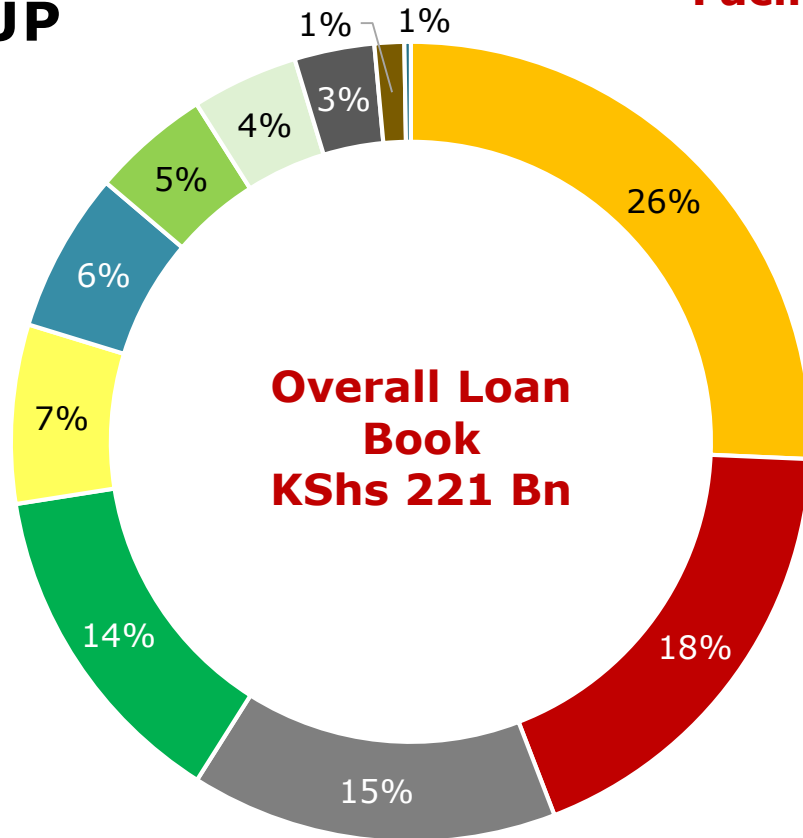
DTB Strategy 2030: under review and modification

- will take into account the changing environment and customer behaviour, including the ongoing effects of the unexpected COVID-19 pandemic and the post-pandemic business landscape.
- will be anchored on the improvement in the quality of lives of customers – those that DTB is currently serving, as well as those that are under-served.
- continued investment in its people, new skills, and technologies (Big Data analytics, Artificial Intelligence (AI), robotics, cloud computing, etc) and innovation.

MANAGING RISKS AND BUILDING RESILIENCE

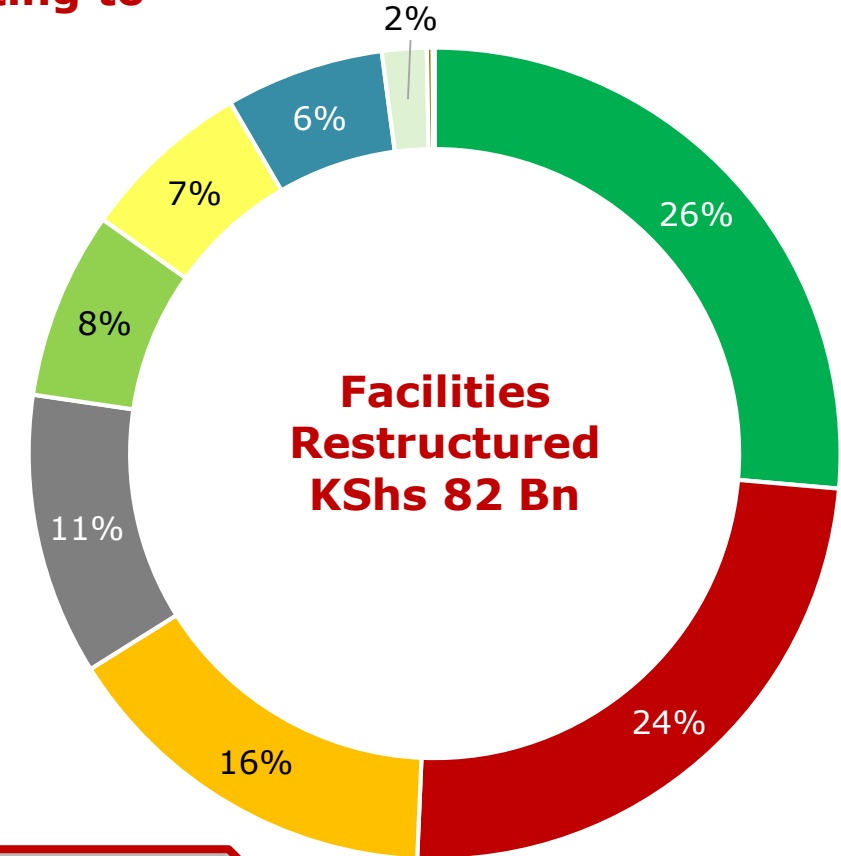


SECTOR-WISE RESTRUCTURES-GROUP



Facilities Restructured Relating to COVID-19 (FY 2020)

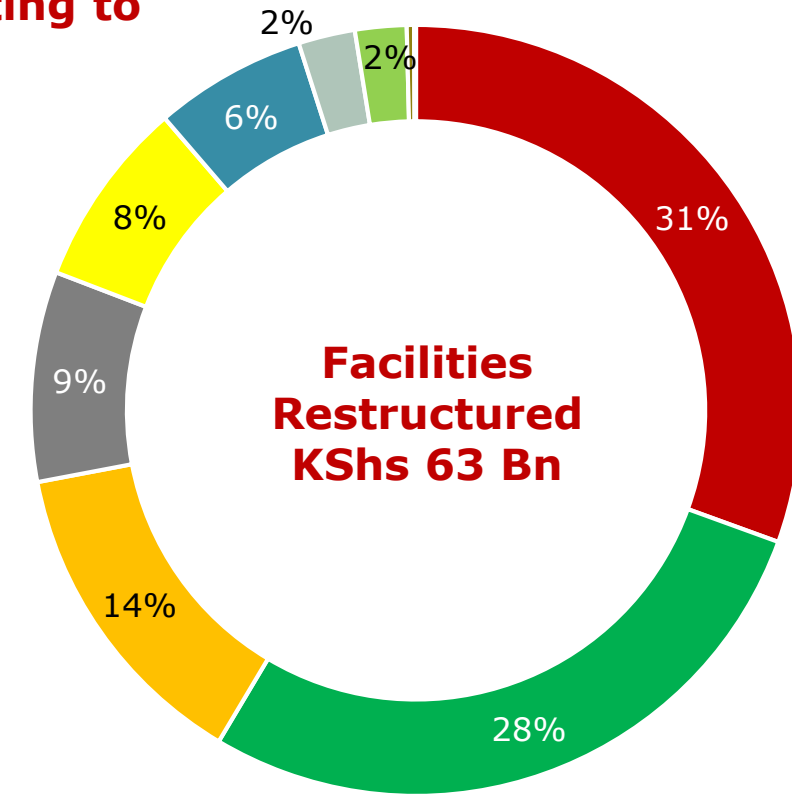
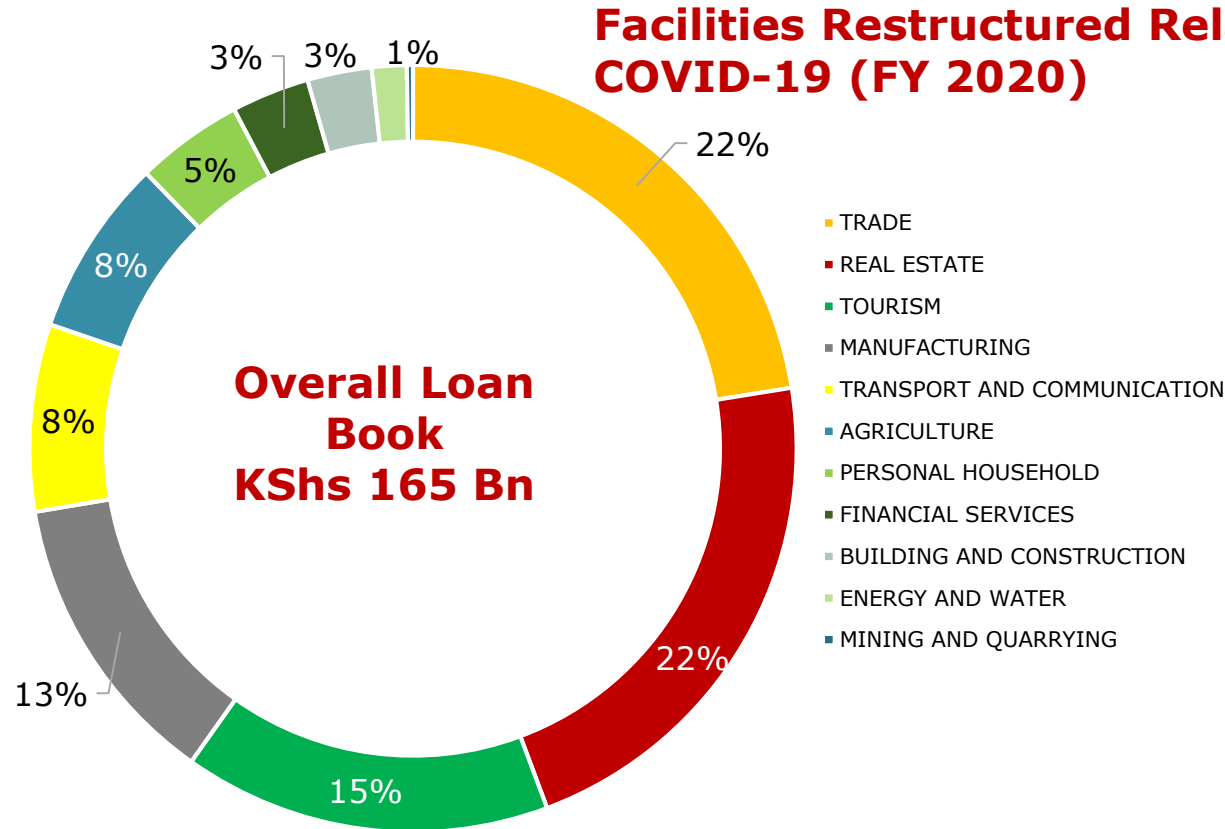
- Trade
- Real Estate
- Manufacturing
- Tourism, restaurants and hotels
- Transport & communications
- Agriculture
- Building & construction
- Personal household
- Financial services
- Energy & water
- Mining



- Moratorium of up to 12 months.
- Extension of tenor.
- Cost of restructuring absorbed by the Bank.

37% of the loan book restructured in Kenya as at December 2020

SECTOR-WISE RESTRUCTURES-KENYA

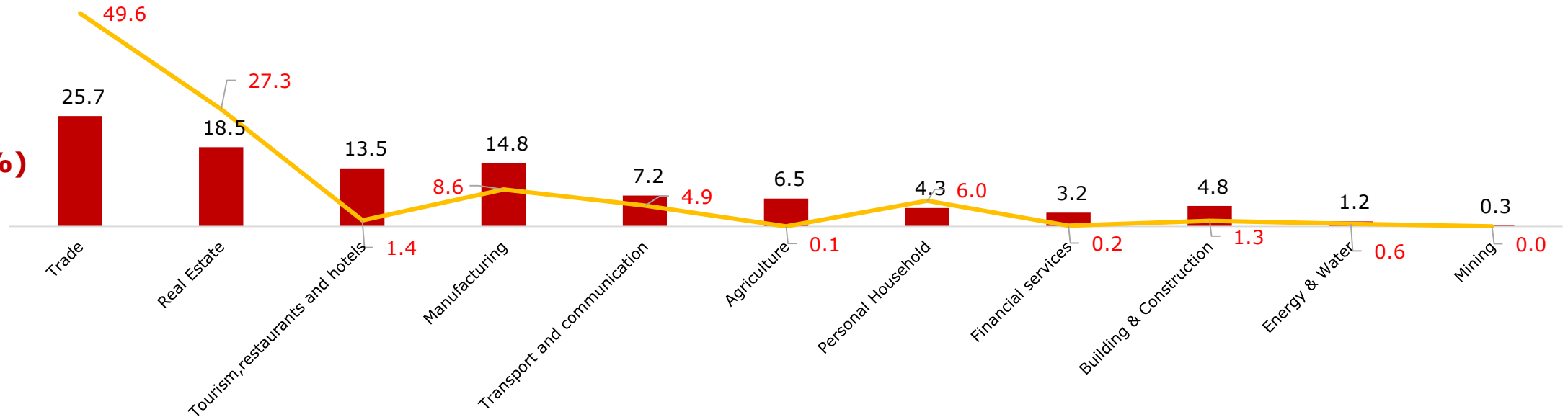


- Moratorium of up to 12 months.
- Extension of tenor.
- Cost of restructuring absorbed by the Bank.

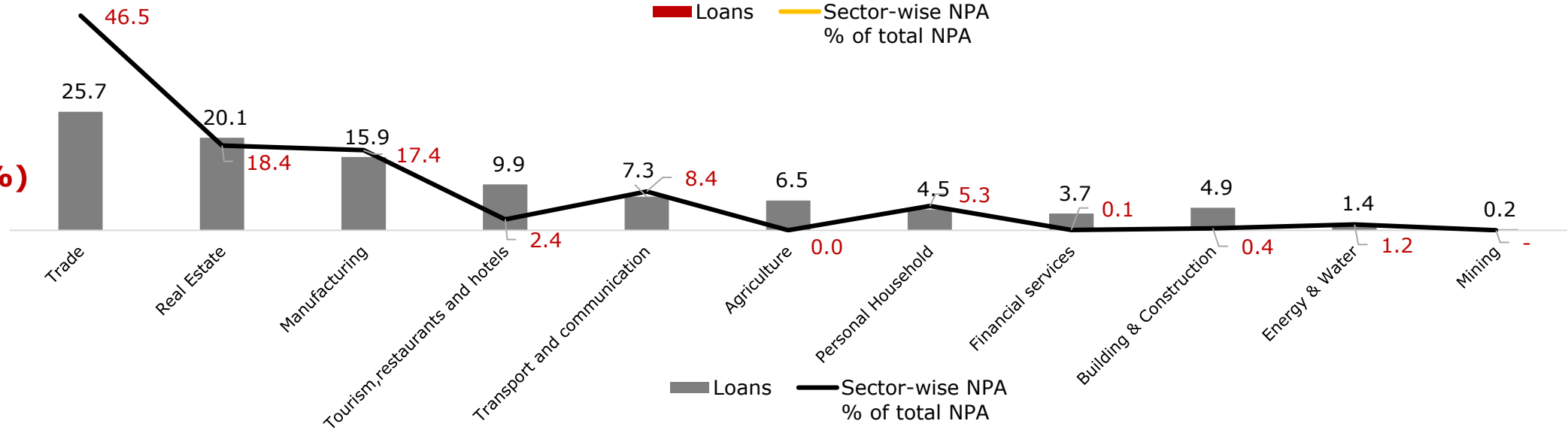
38% of the loan book restructured in Kenya as at December 2020

SECTOR-WISE ANALYSIS OF LOAN BOOK AND NPLs-GROUP

FY 2020 (%)

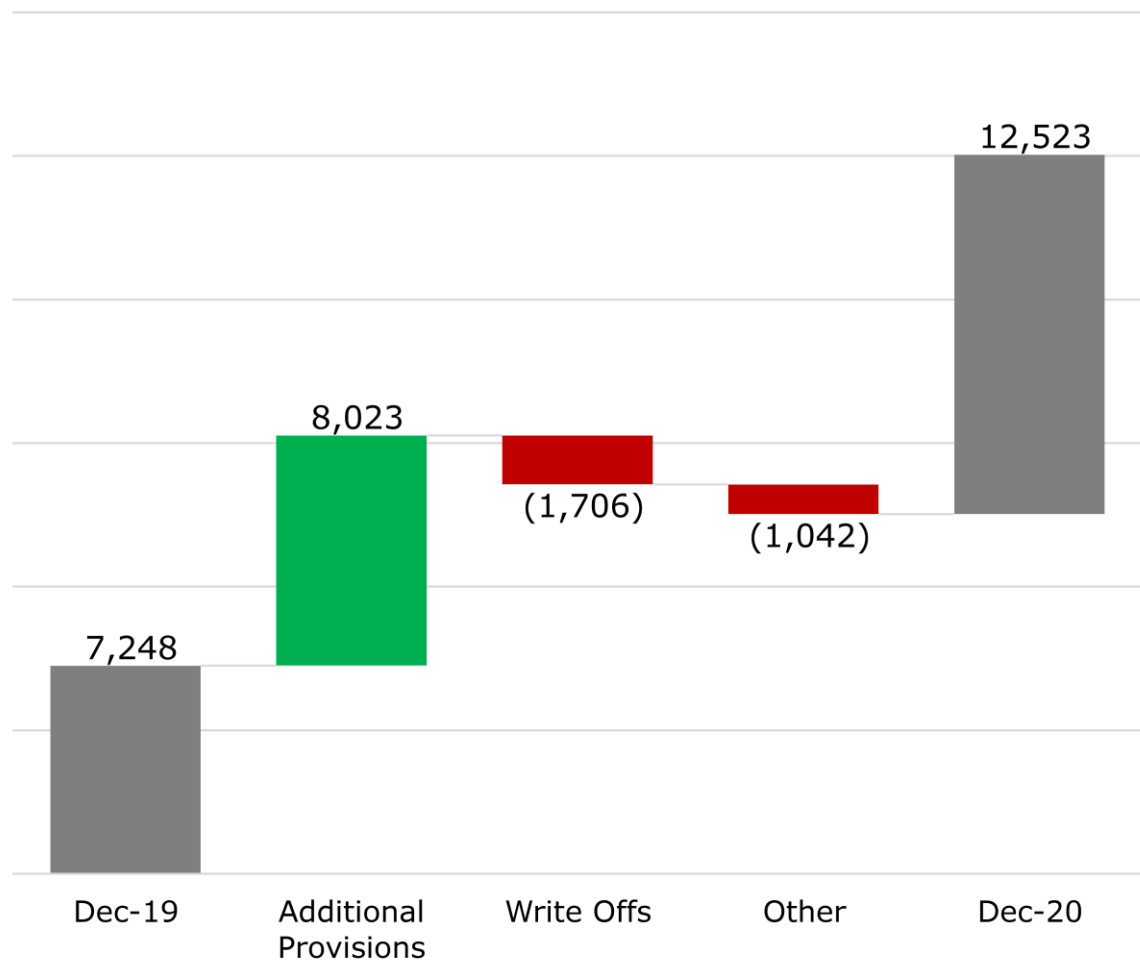


FY 2019 (%)

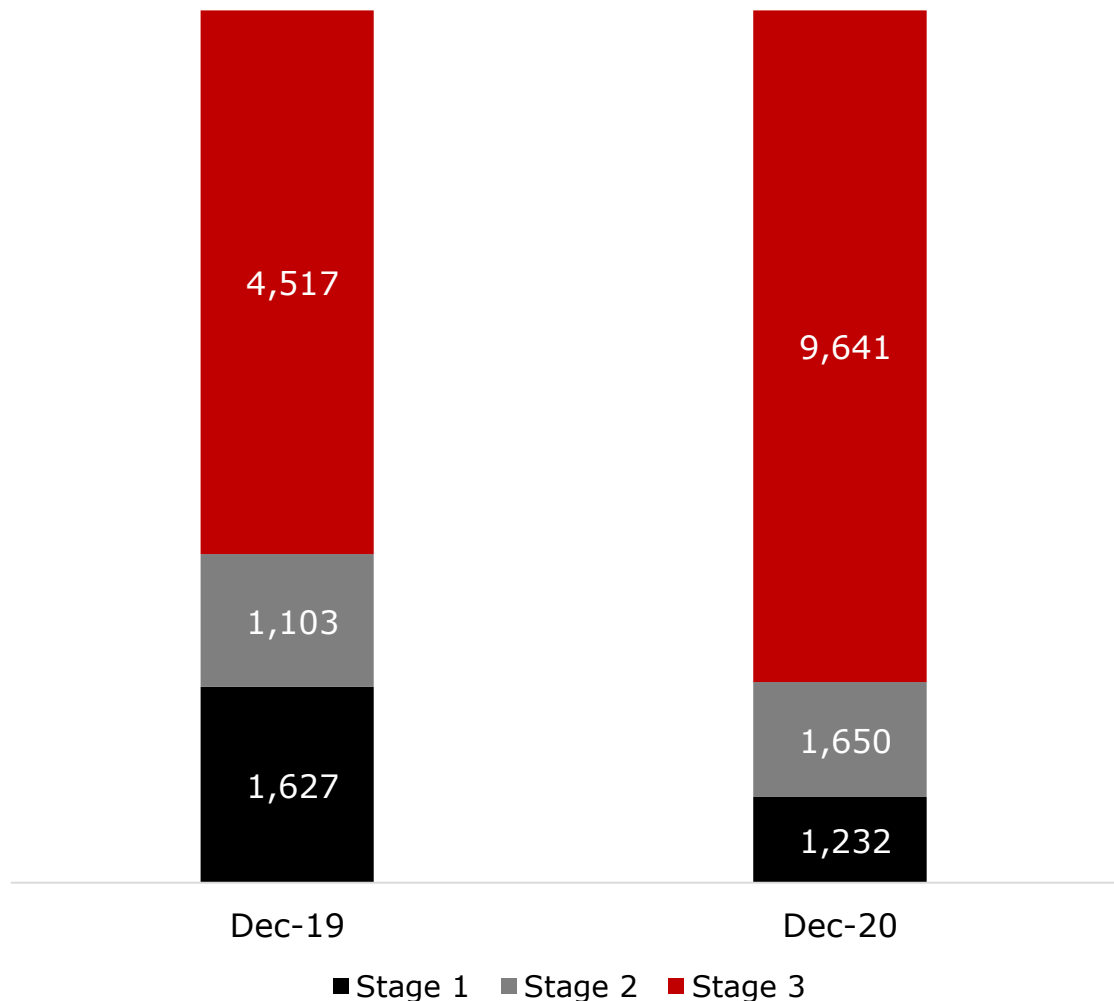


BALANCE SHEET
HIGHLIGHTS-
GROUP

Provision Movement
(KShs Mn)

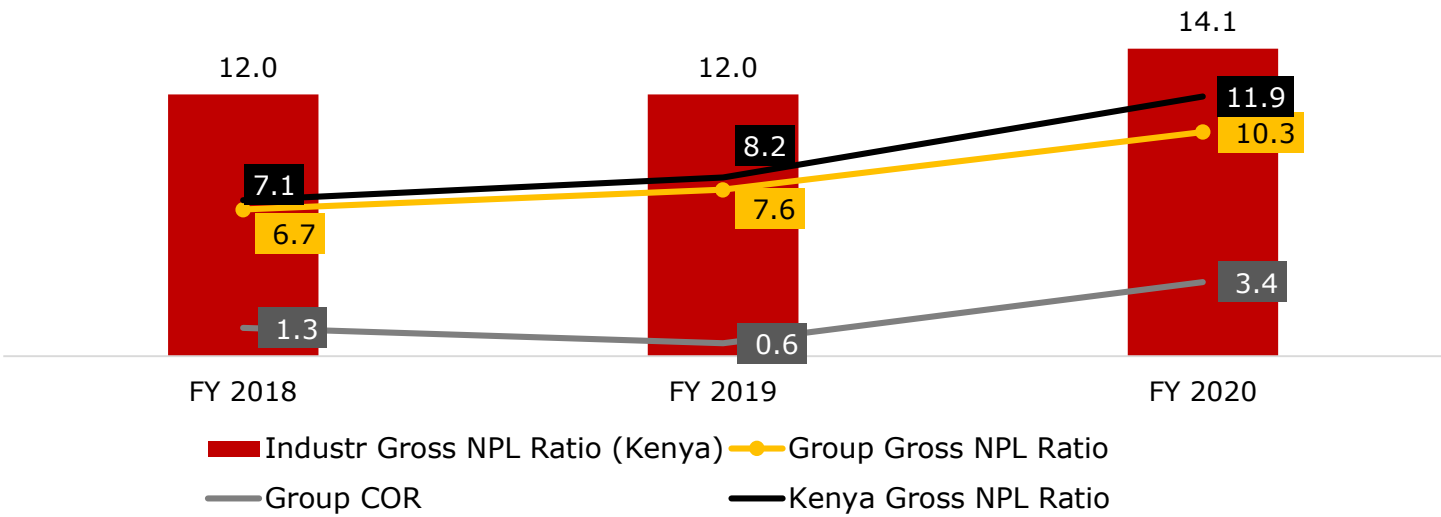


Provision Split
(KShs Mn)



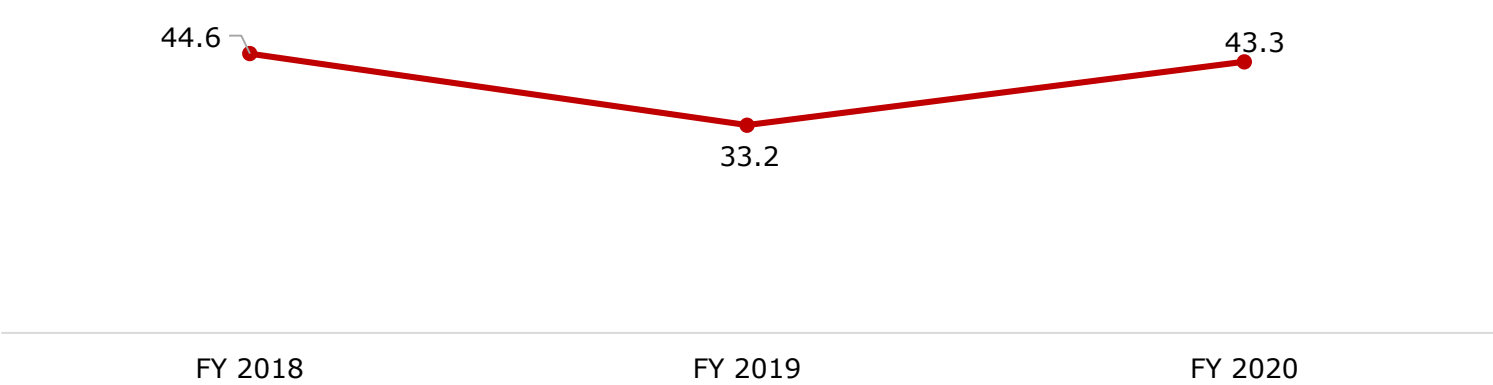
LOANBOOK PERFORMANCE- NON PERFORMING LOANS- GROUP

NPL Movement (%)



NPL ratio stable and well below industry average.

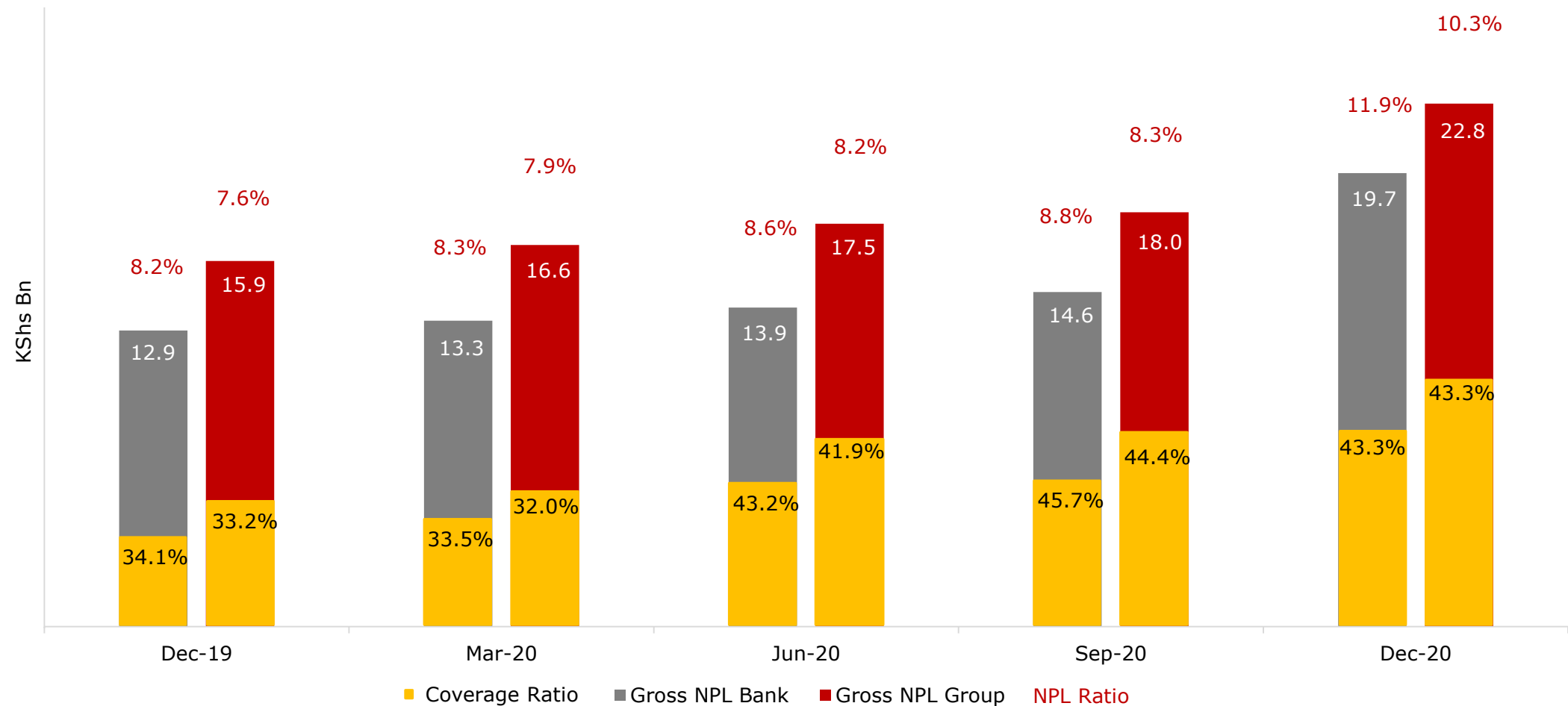
Specific Provision/ NPLs Coverage Ratio (%)



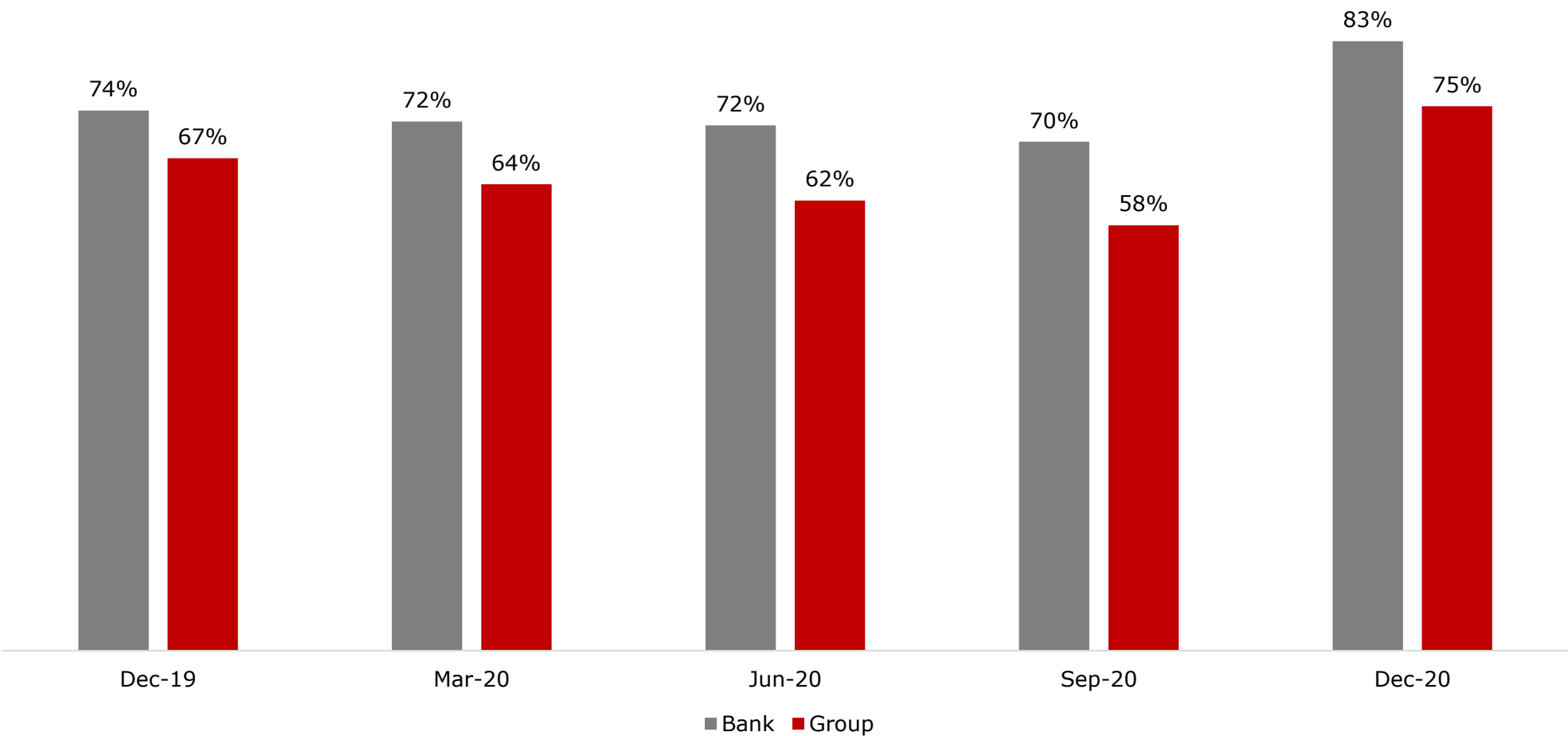
Increase in coverage anchored on prudence and conservatism.

LOANBOOK PERFORMANCE- NON PERFORMING LOANS

Evolution of NPLs (Gross of Interest in Suspense) +
Coverage Ratio (Specific Provision/ NPLs Coverage Ratio) (%)

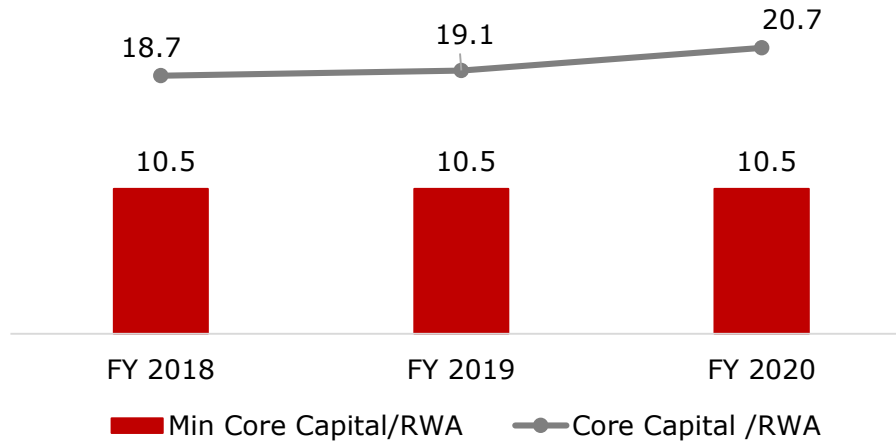


Top 10 NPLs as a % of Total NPLs

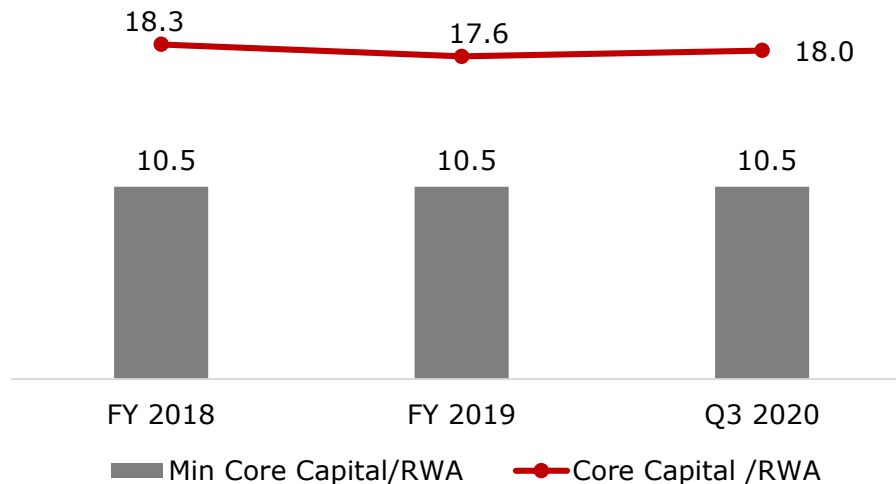


STRONG CAPITAL BUFFERS

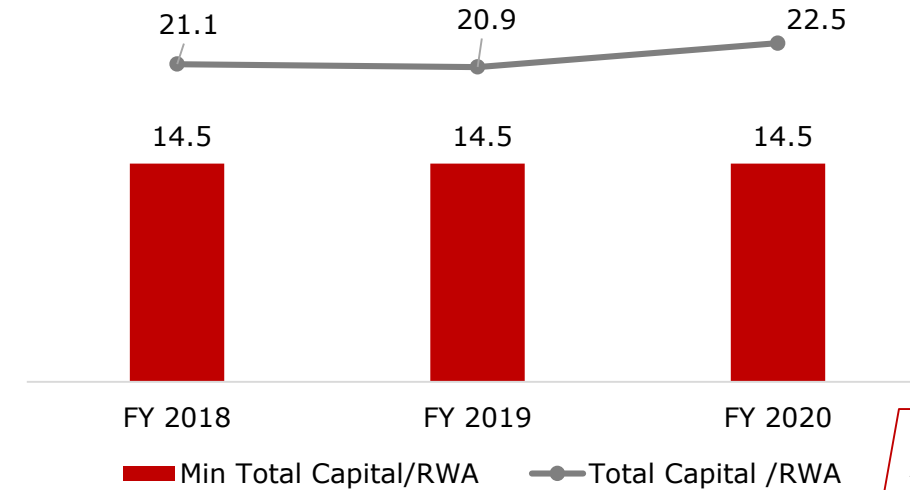
Core Capital to RWA (%) Kenya



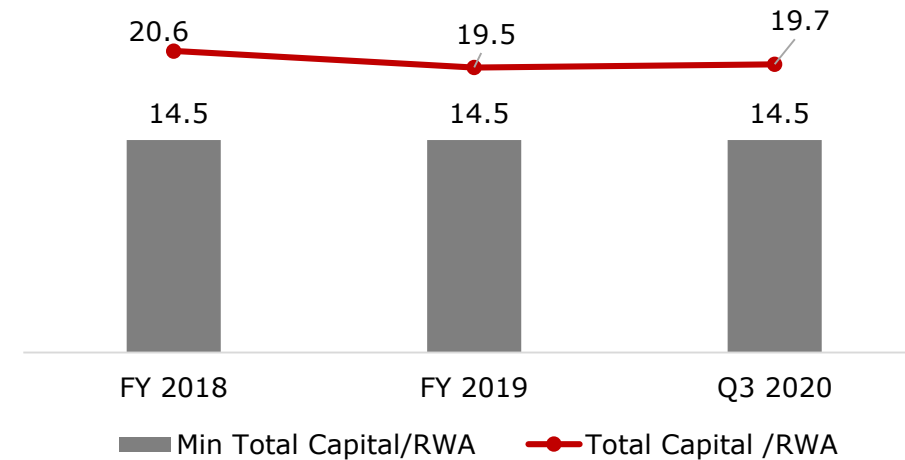
Group



Total Capital to RWA (%) Kenya

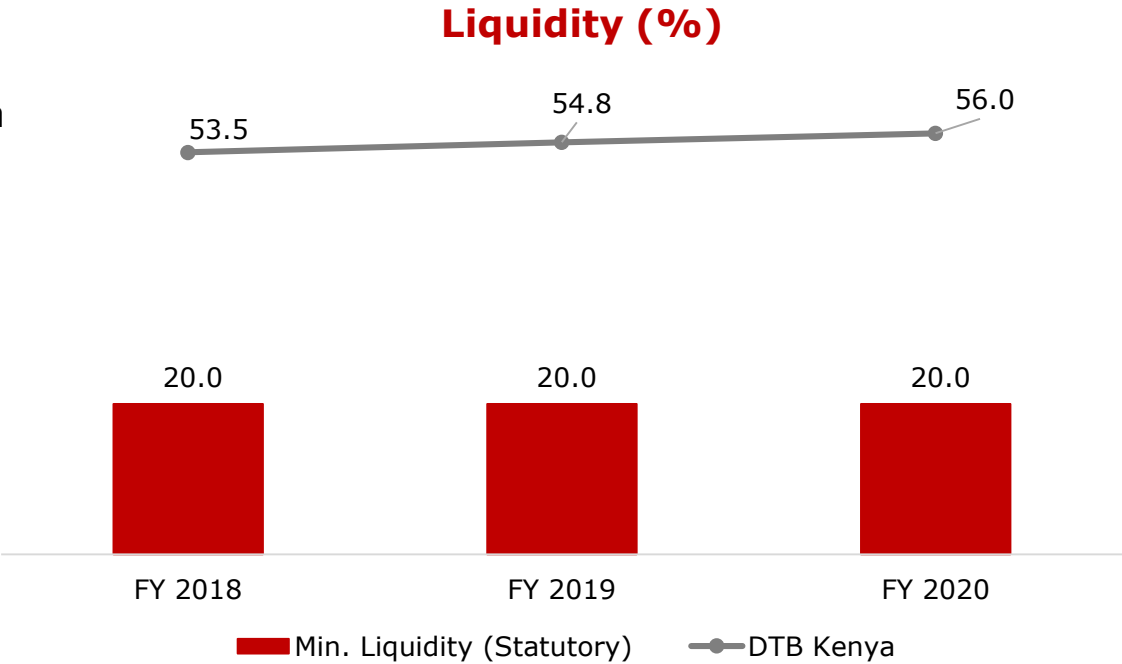


Group



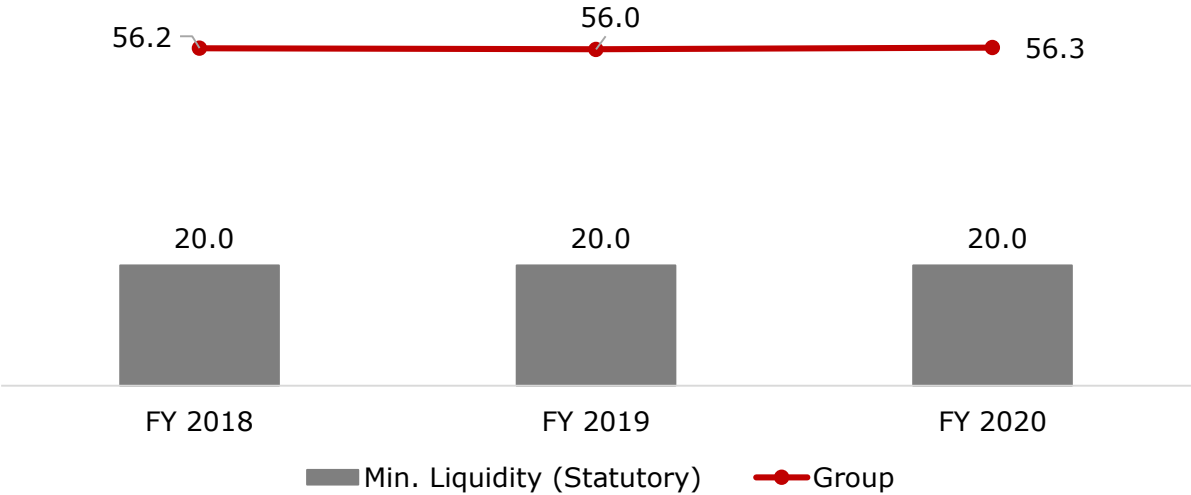
Adequate capital ratios above statutory requirement

Kenya



Stable liquidity levels across the Group

Group

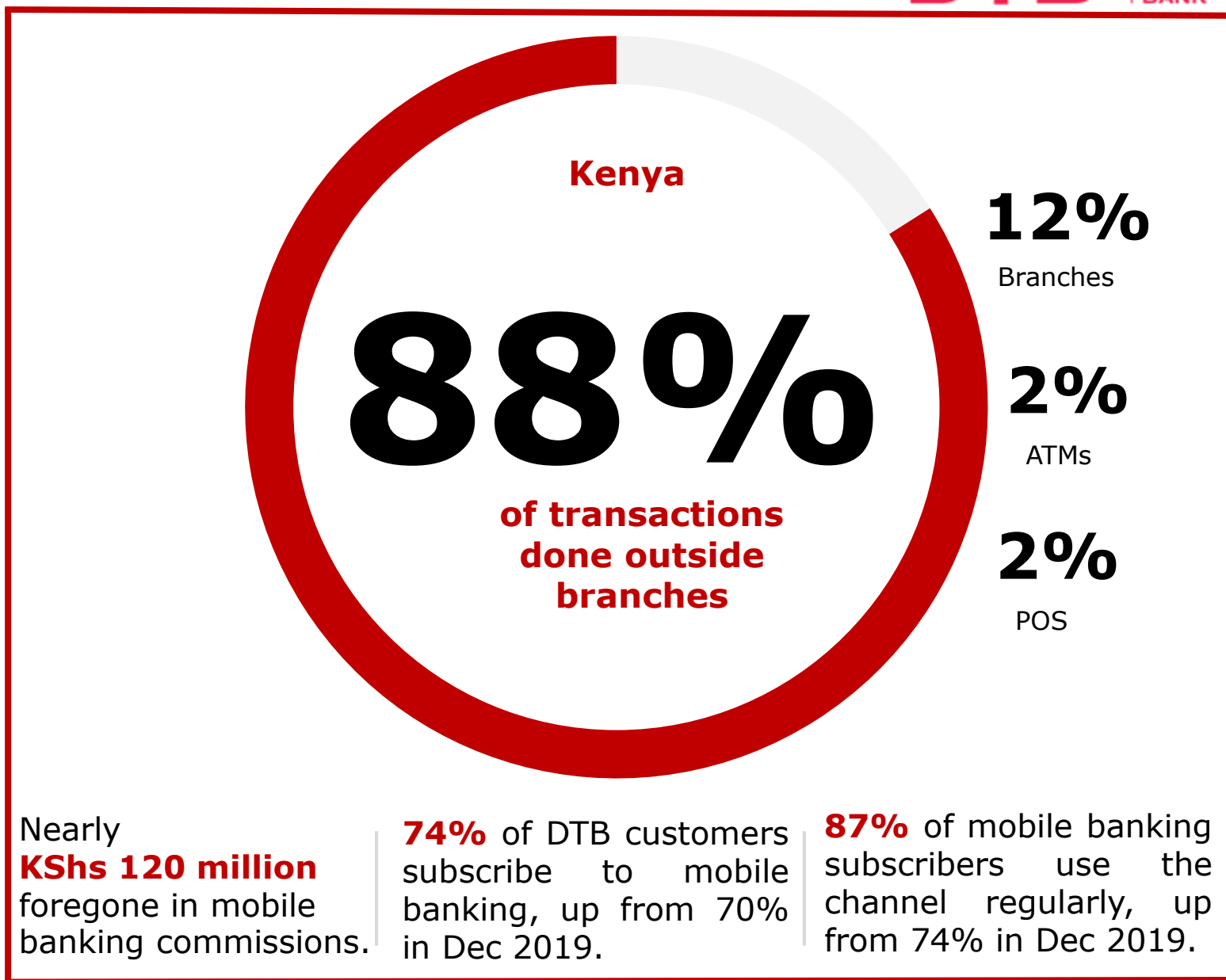
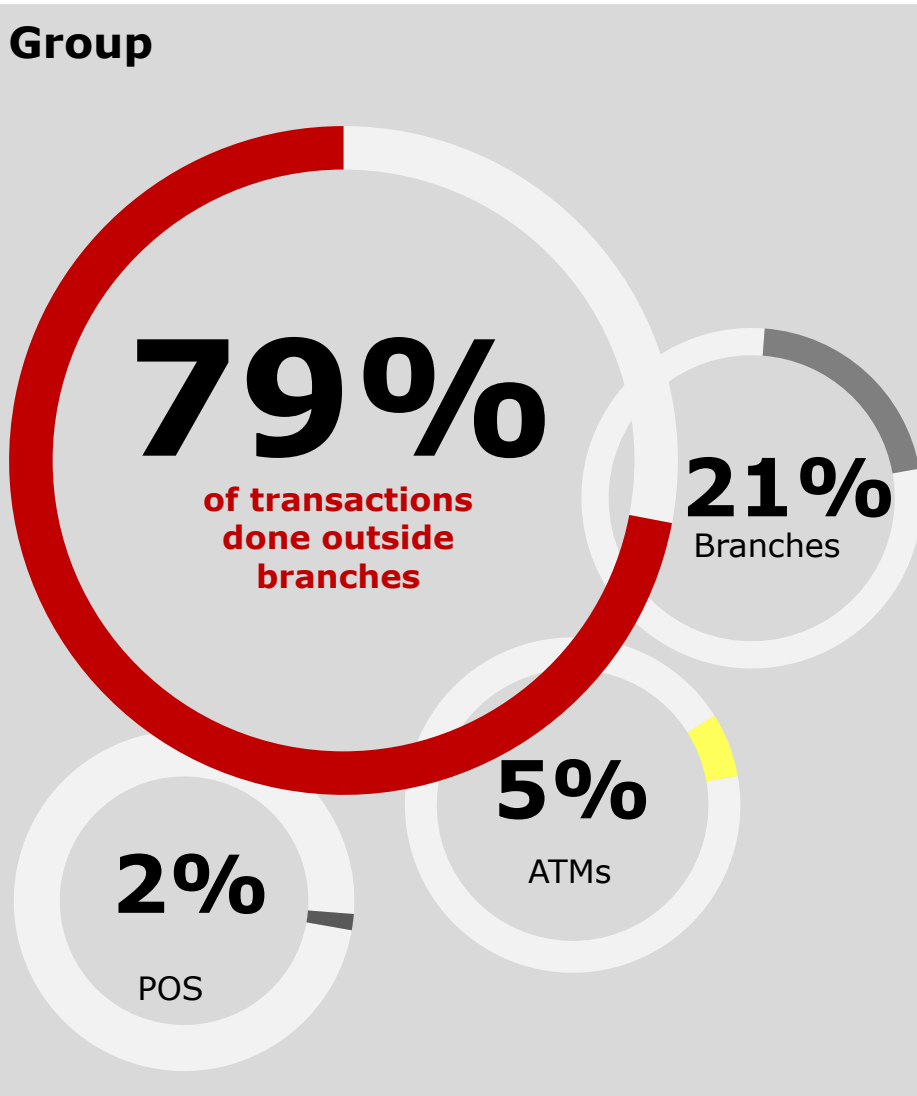


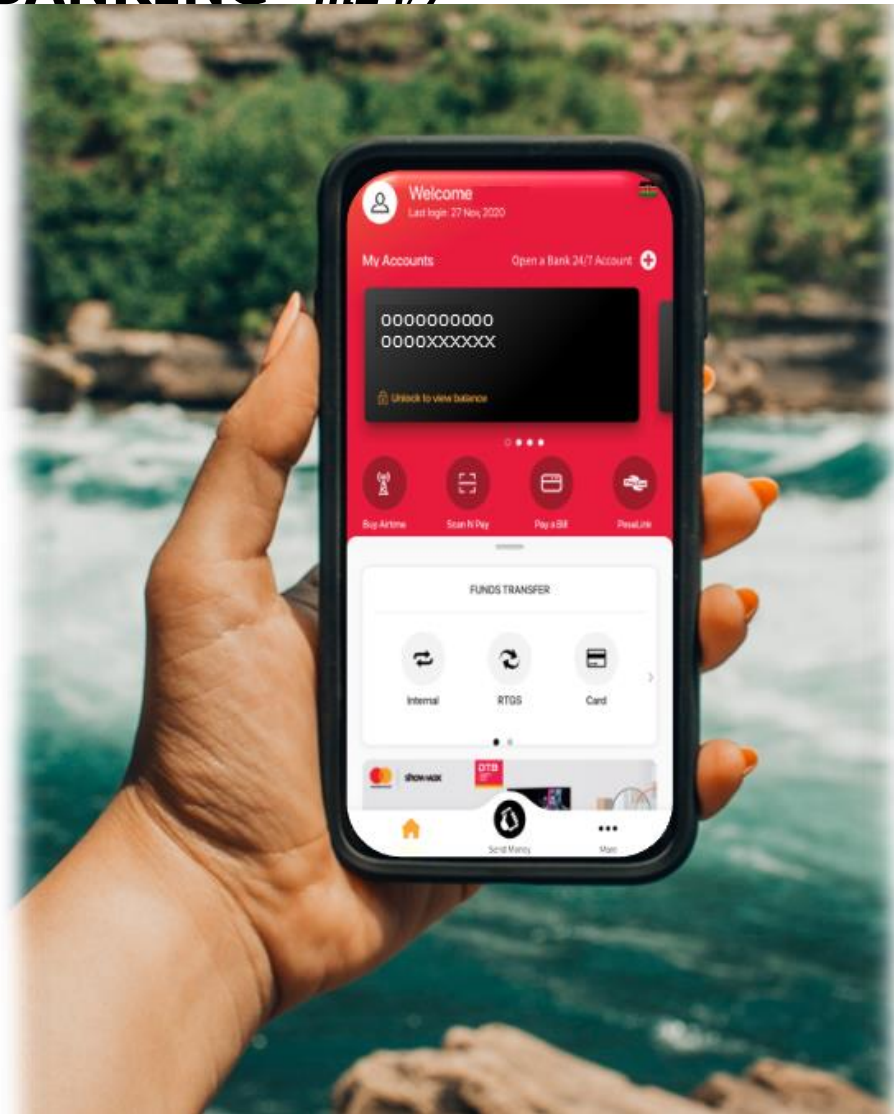
Draw down of **USD 100 million** from Development Financial Institutions:
IFC- USD 50 million,
AfDB- USD 40 million &
DEG- USD 10 million.

REMODELING THE BUSINESS PIVOTING TO DIGITAL



CHANNEL PERFORMANCE- FY 2020



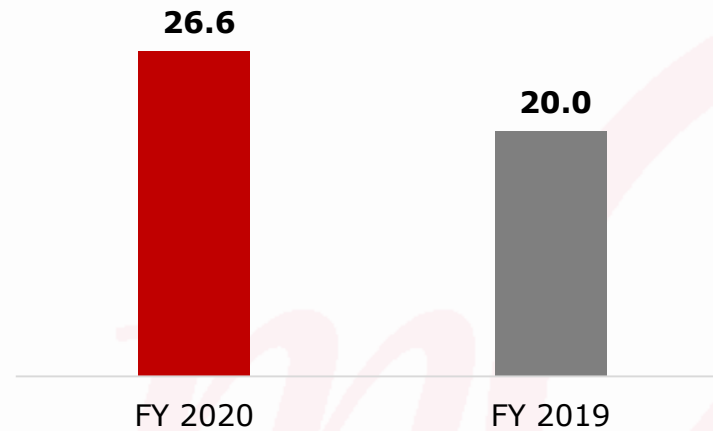


Using m24/7 mobile banking platform our customers can:

- open a **Bank 24/7 digital account** in **under 5 minutes**.
- make **seamless payments** to settle their **credit card balances**.
- worry less about security by **authenticating transactions** using leading **biometrics** such as **facial recognition**.
- conveniently be informed of recent and upcoming transactions through **in-app notifications**.
- **confirm** their beneficiary's name **before sending money** to another DTB customer.
- effortlessly **book fixed deposits** directly from their phone promoting a convenient savings culture.
- easily conduct **foreign currency internal transfers** denominated in USD, GBP and EUR.
- comfortably **send/ receive Western Union transfers** directly on their phones.
- **send money** to and from their DTB account effortlessly to third party.

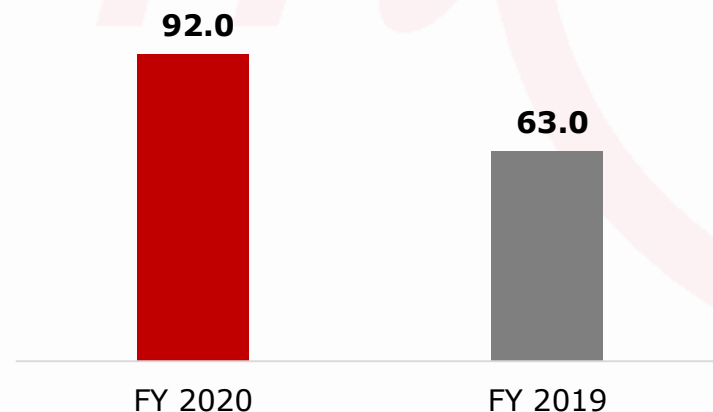
CHANNEL PERFORMANCE- KENYA MOBILE BANKING

No. of Mobile Banking (*m24/7*) Transactions (Mn)



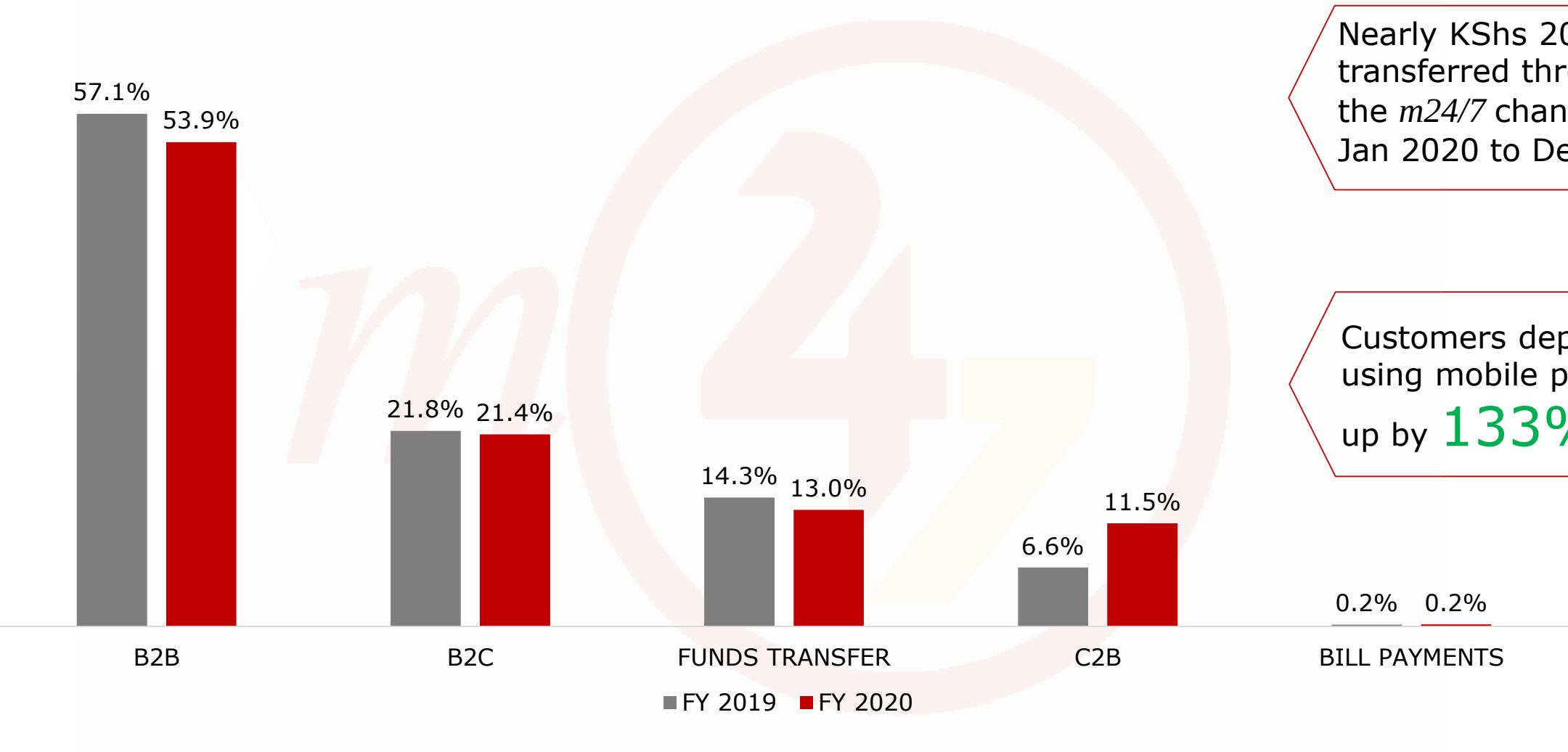
m24/7
transaction count up
by  **33%**

Value of *m24/7* Transactions (KShs Bn)



m24/7
transaction values up by
 **46%**

Mobile Banking Transaction type (% value)



Nearly KShs 200 bn transferred through the *m24/7* channel from Jan 2020 to Dec 2020

Customers deposits using mobile platforms up by **133%**

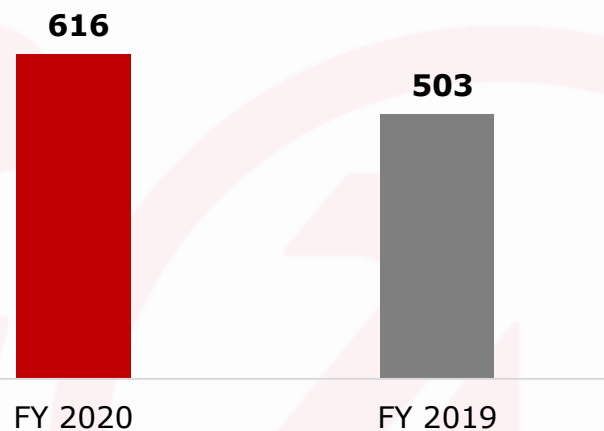


Using *i24/7* our internet banking platform, is a 'walk in the park' experience for our customers as they can:

- **pay** their **taxes** real time on KRA's iTax portal.
- no longer queue in long lines to **pay bills** to Kenya Power and Nairobi Water.
- easily **transfer foreign currency** denominated in USD, GBP and EUR.
- **transact securely** with a one-time pin sent on email every time they log in to the *i24/7* portal.
- **view accounts** of **related companies** effortlessly on a single screen.
- get a **360 view** of **all** the **products** they subscribe to, without a hitch.

CHANNEL PERFORMANCE- KENYA INTERNET BANKING

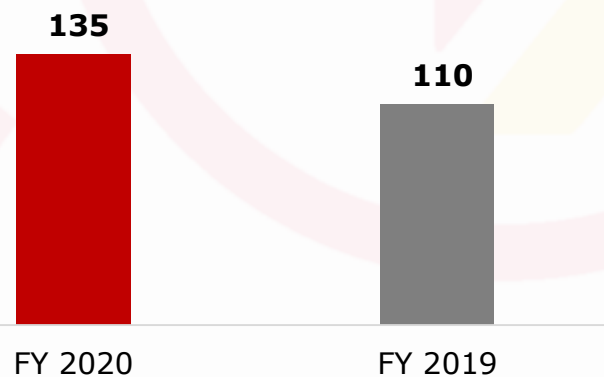
No. of Internet Banking (*i24/7*) Transactions (Thousands)



i24/7
transactions up by

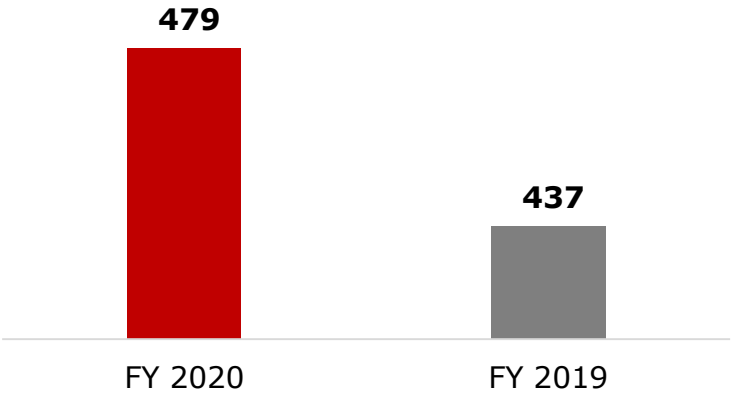
^ 23%

Value of *i24/7* Transactions (KShs Bn)



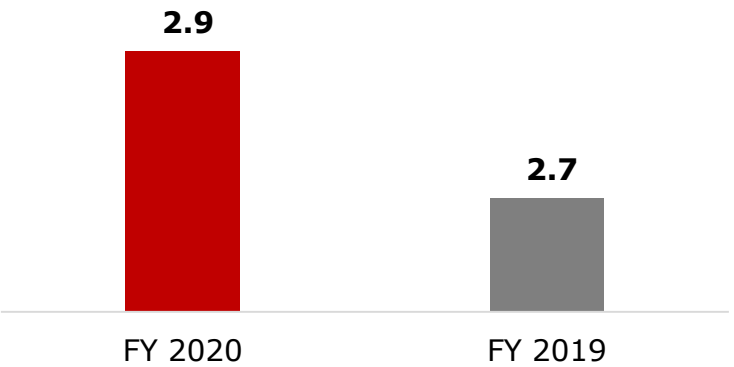
Average of **2,353**
transactions done per
business day on *i24/7*

No. of POS Acquiring Transactions (Thousands)



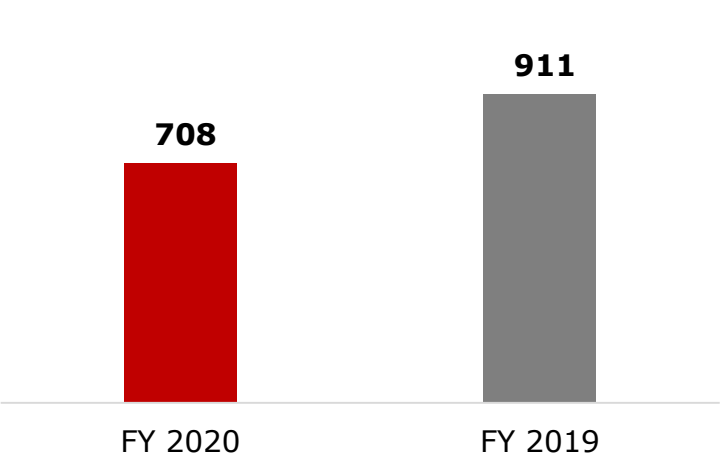
POS transaction count up by  10%

Value of POS Acquiring Transactions (KShs Bn)



POS transaction value up by  7%

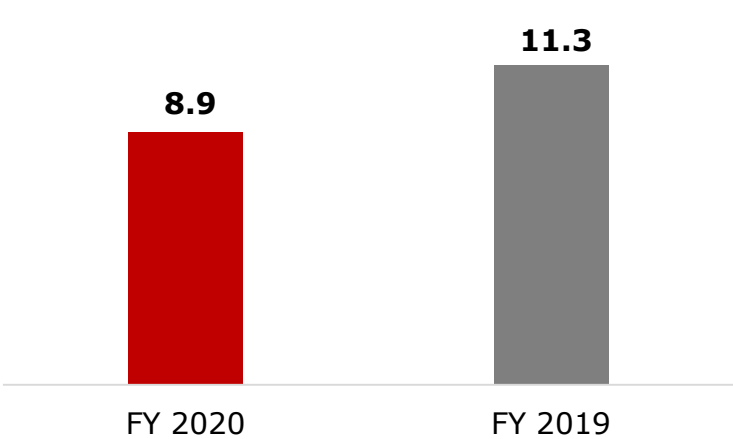
No. of ATM Transactions
(Thousands)



Decline in number of ATM transactions by
▼ 22%

Increased shift in transactions to a more cash-less economy

Value of ATM Transactions (KShs Bn)



ATM transaction value down by
▼ 21%

FINANCIAL PERFORMANCE

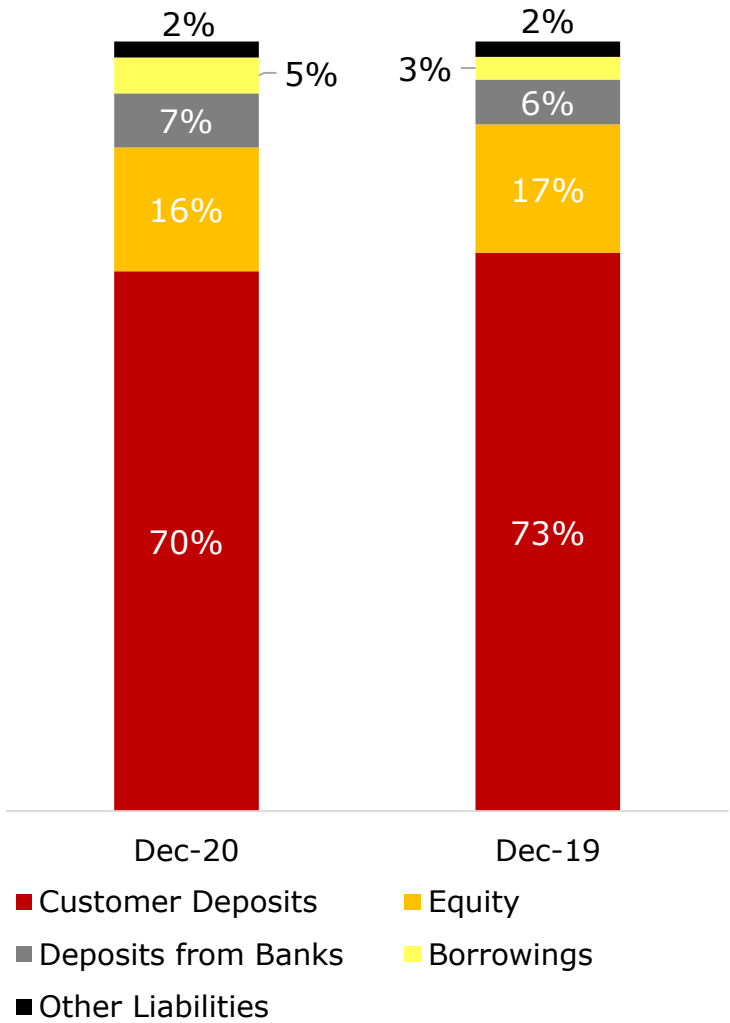


BALANCE SHEET
HIGHLIGHTS-
GROUP

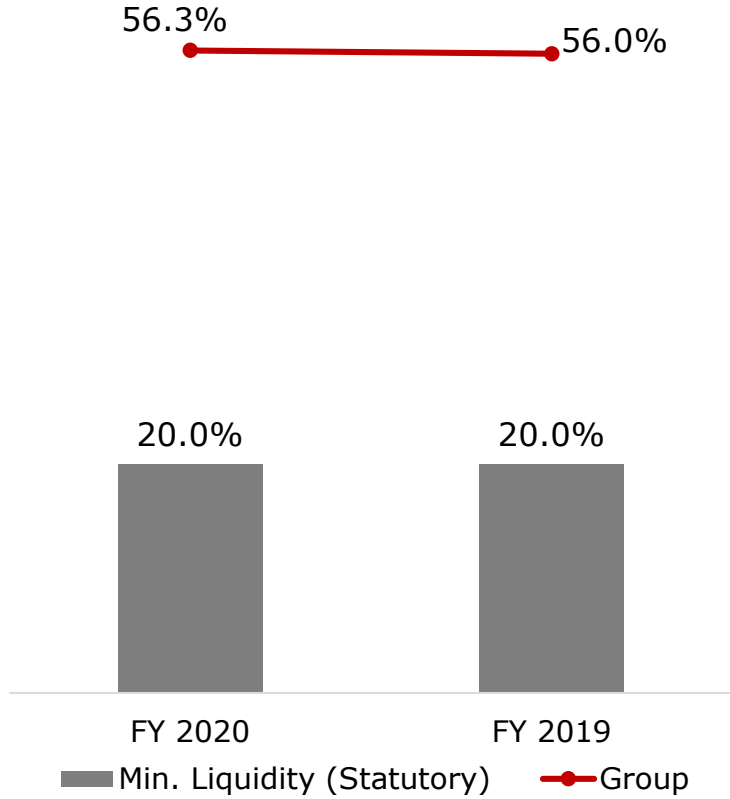
		FY 19	FY 20	
ASSETS	Net Loans & Advances	KShs 199 Bn	KShs 209 Bn	5%
	Gov-Securities	KShs 131 Bn	KShs 147 Bn	12%
	Total Assets	KShs 386 Bn	KShs 425 Bn	10%
LIABILITIES	Customer Deposits	KShs 280 Bn	KShs 298 Bn	6%

BALANCE SHEET HIGHLIGHTS- FUNDING, LIQUIDITY AND CAPITAL GROUP

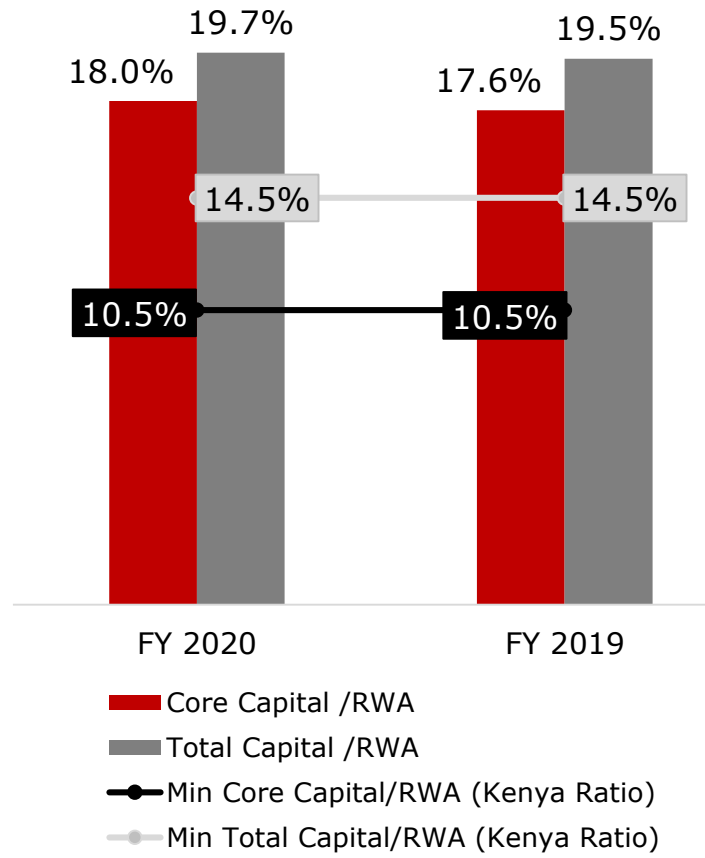
Funding



Liquidity



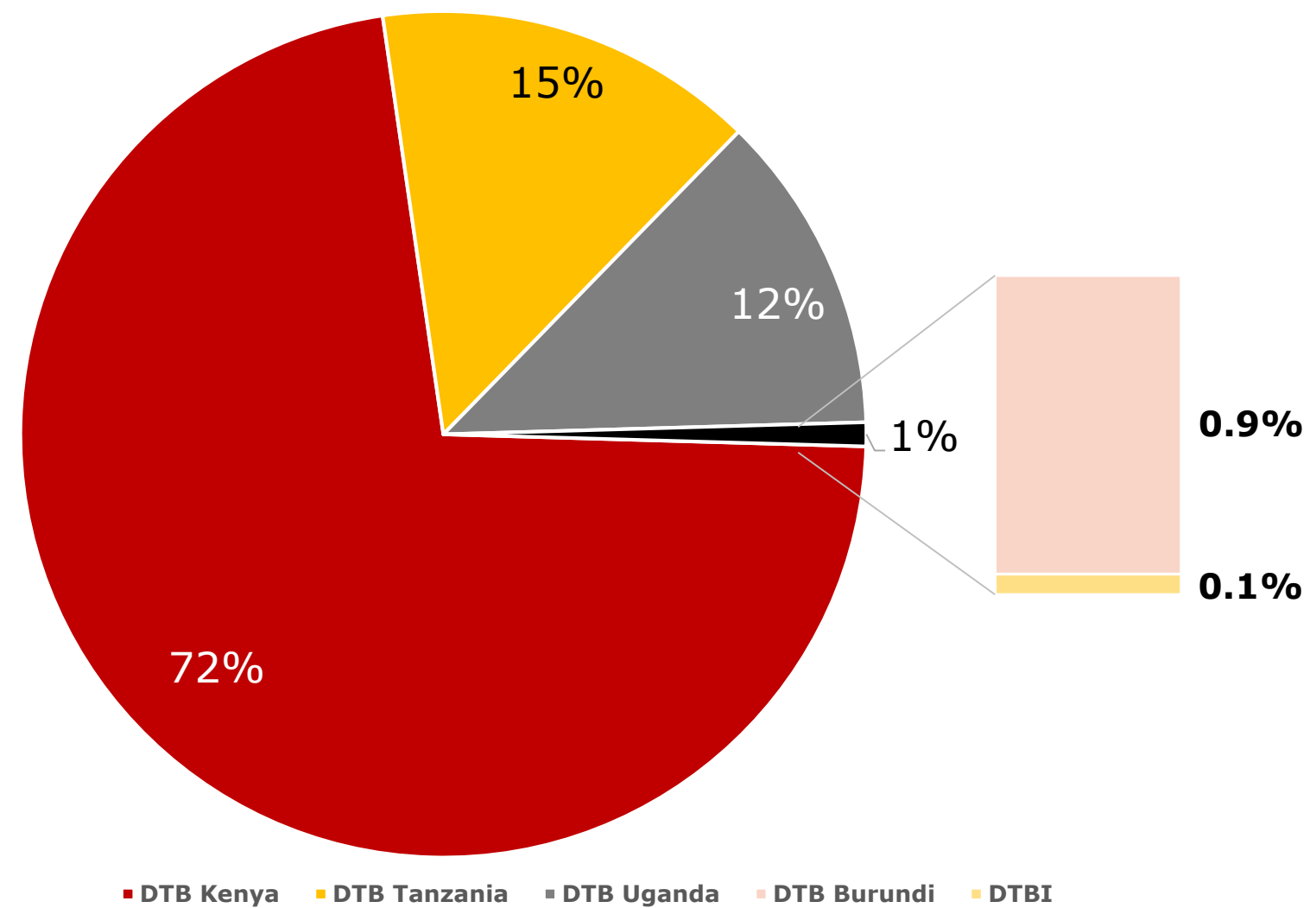
Capital



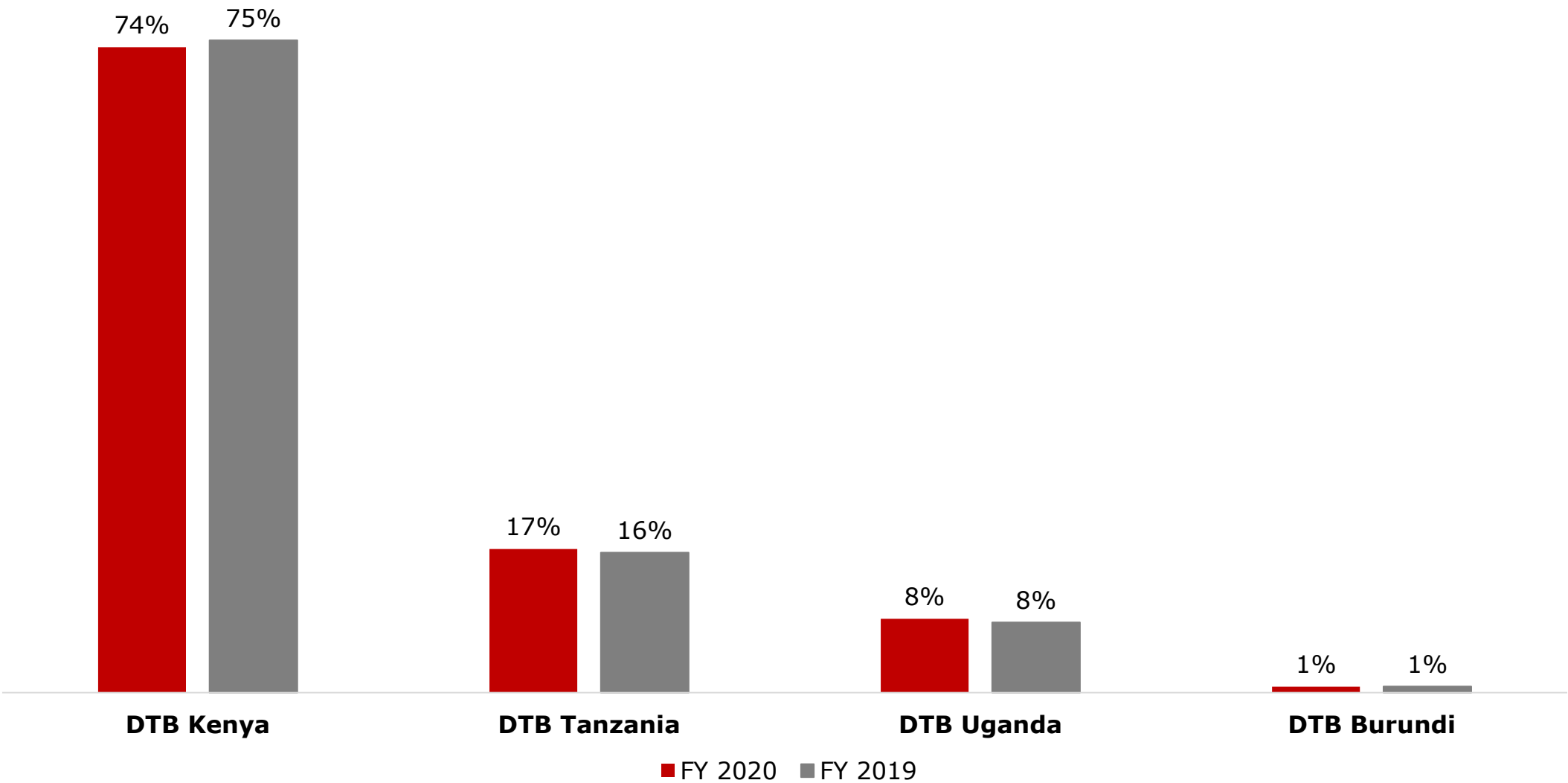
BALANCE SHEET HIGHLIGHTS- KENYA

		FY 19	FY 20	
ASSETS	Net Loans & Advances	KShs 150 Bn	KShs 155 Bn	↑ 3%
	Gov-Securities	KShs 98 Bn	KShs 111 Bn	↑ 13%
	Total Assets	KShs 287 Bn	KShs 312 Bn	↑ 9%
LIABILITIES	Customer Deposits	KShs 199 Bn	KShs 208 Bn	↑ 5%

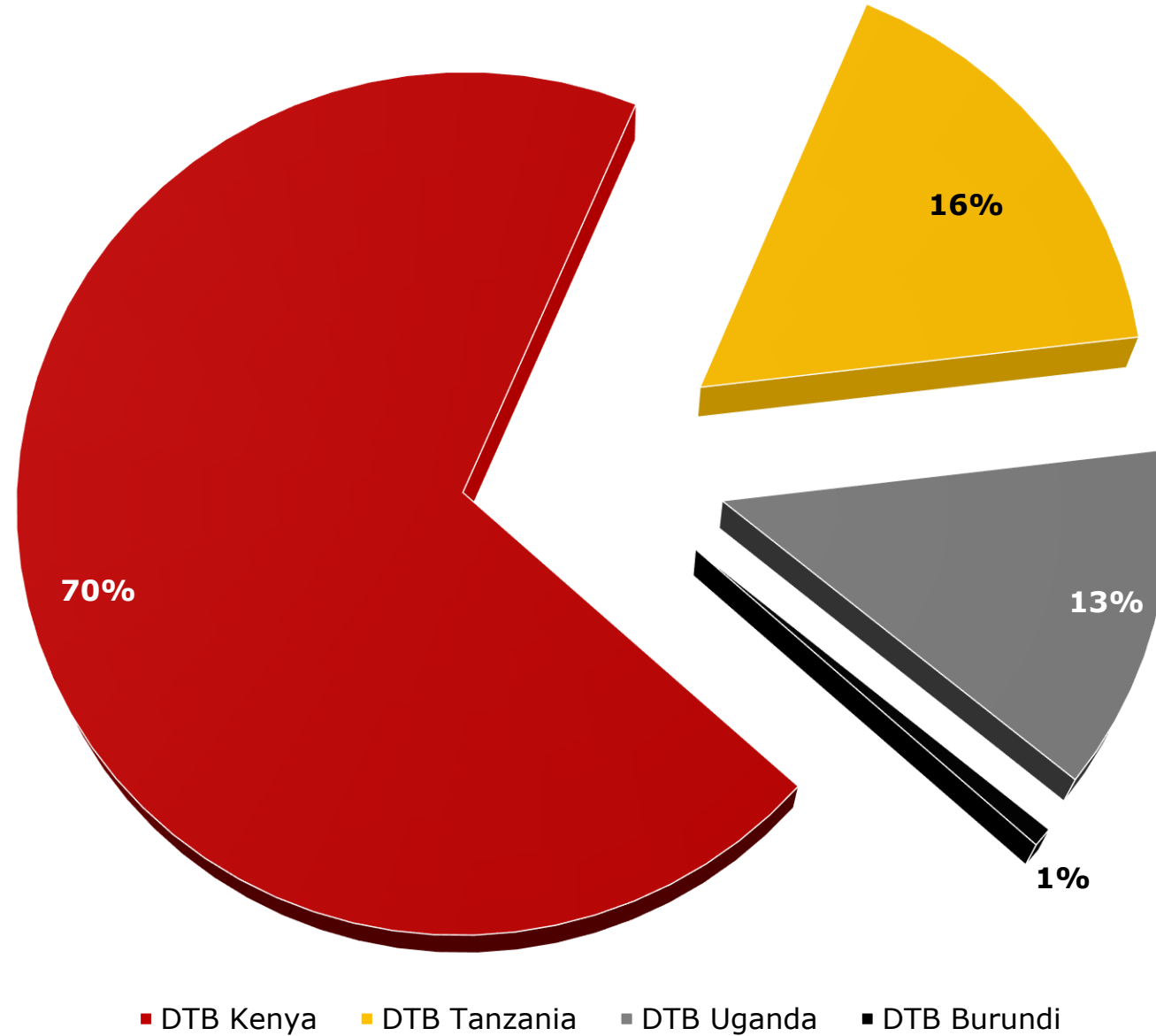
TOTAL ASSETS-
SUBSIDIARIES
CONTRIBUTION (%)
FY 2020



NET LOAN BOOK-
CONTRIBUTION
BY SUBSIDIARIES

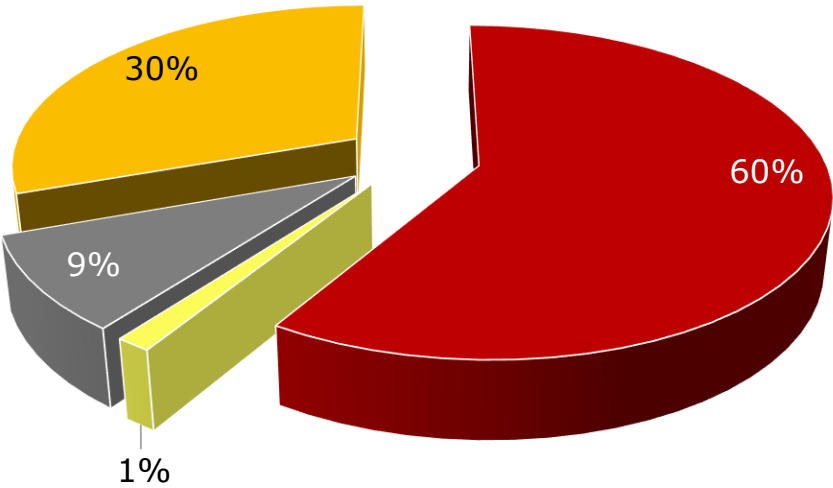


TOTAL DEPOSITS- CONTRIBUTION BY SUBSIDIARIES FY 2020



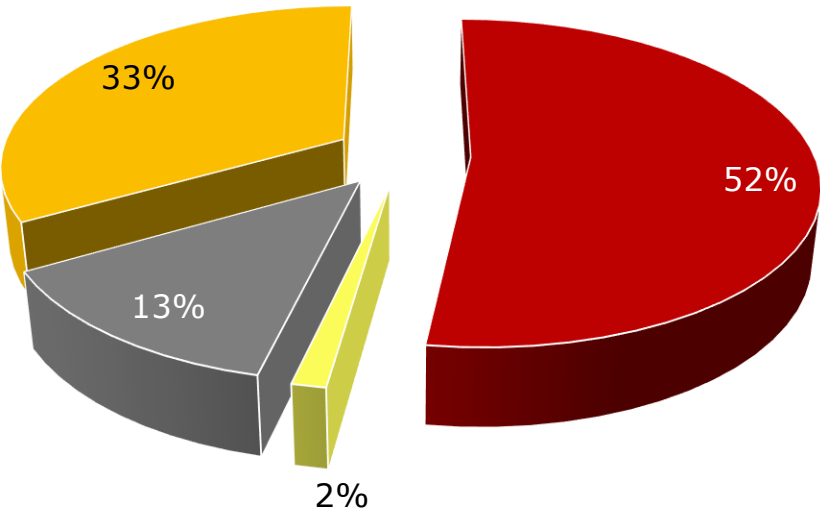
DEPOSIT MIX
GROUP
FY 2020

Kenya



■ Fixed ■ Call ■ Savings ■ Current

Group



P&L HIGHLIGHTS

HTS

Kenya

FY 2019

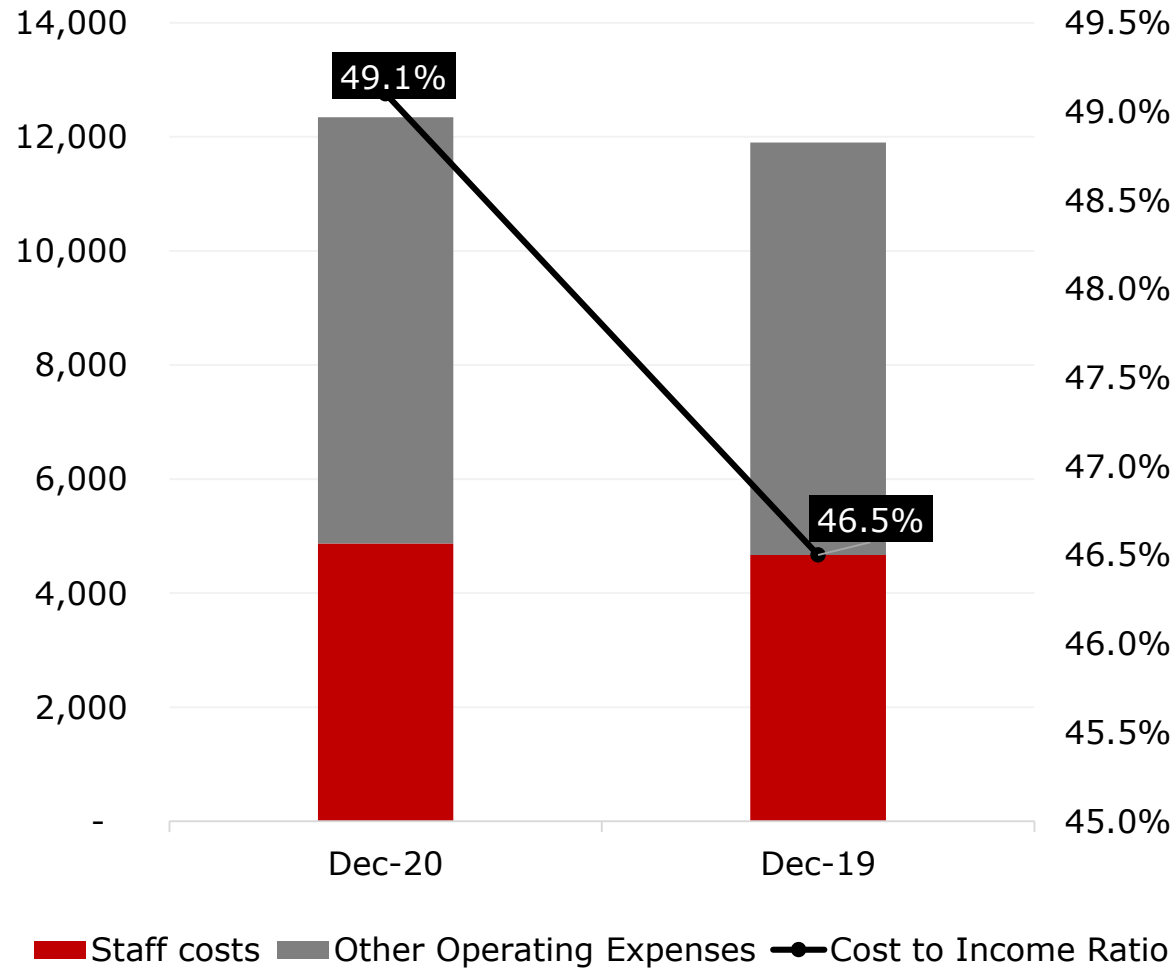
FY 2020

Figures in KShs

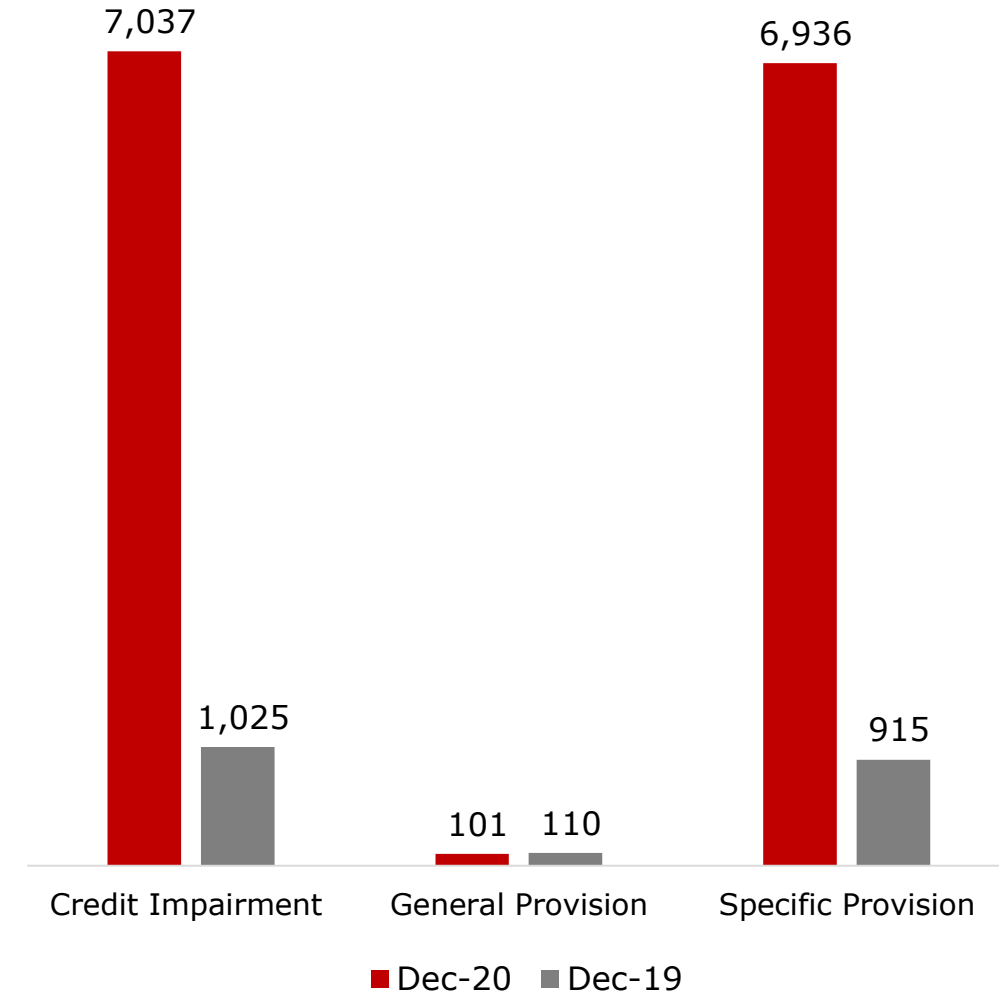
Group

13.8 Bn	13.0 Bn	-6%	Net Interest Income	20.1 Bn	19.3 Bn	-4%
3.2 Bn	4.0 Bn	25%	Total Non-Interest Income	5.5 Bn	5.8 Bn	5%
16.9 Bn	17.0 Bn	0.6%	Gross Operating Income	25.6 Bn	25.1 Bn	-2%
6.7 Bn	6.8 Bn	2%	Operating Expenses	11.9 Bn	12.3 Bn	3%
9.2 Bn	9.1 Bn	-1%	Operating Profit Before Provisions	12.3 Bn	11.7 Bn	-5%
-42 Mn	5.3 Bn	12,719%	Loan Loss provision	1.0 Bn	7.0 Bn	587%
9.3 Bn	3.8 Bn	-59%	Profit before Tax (PBT)	11.3 Bn	4.7 Bn	-58%
5.7 Bn	3.0 Bn	-47%	Profit after Tax (PAT)	7.3 Bn	3.5 Bn	-52%

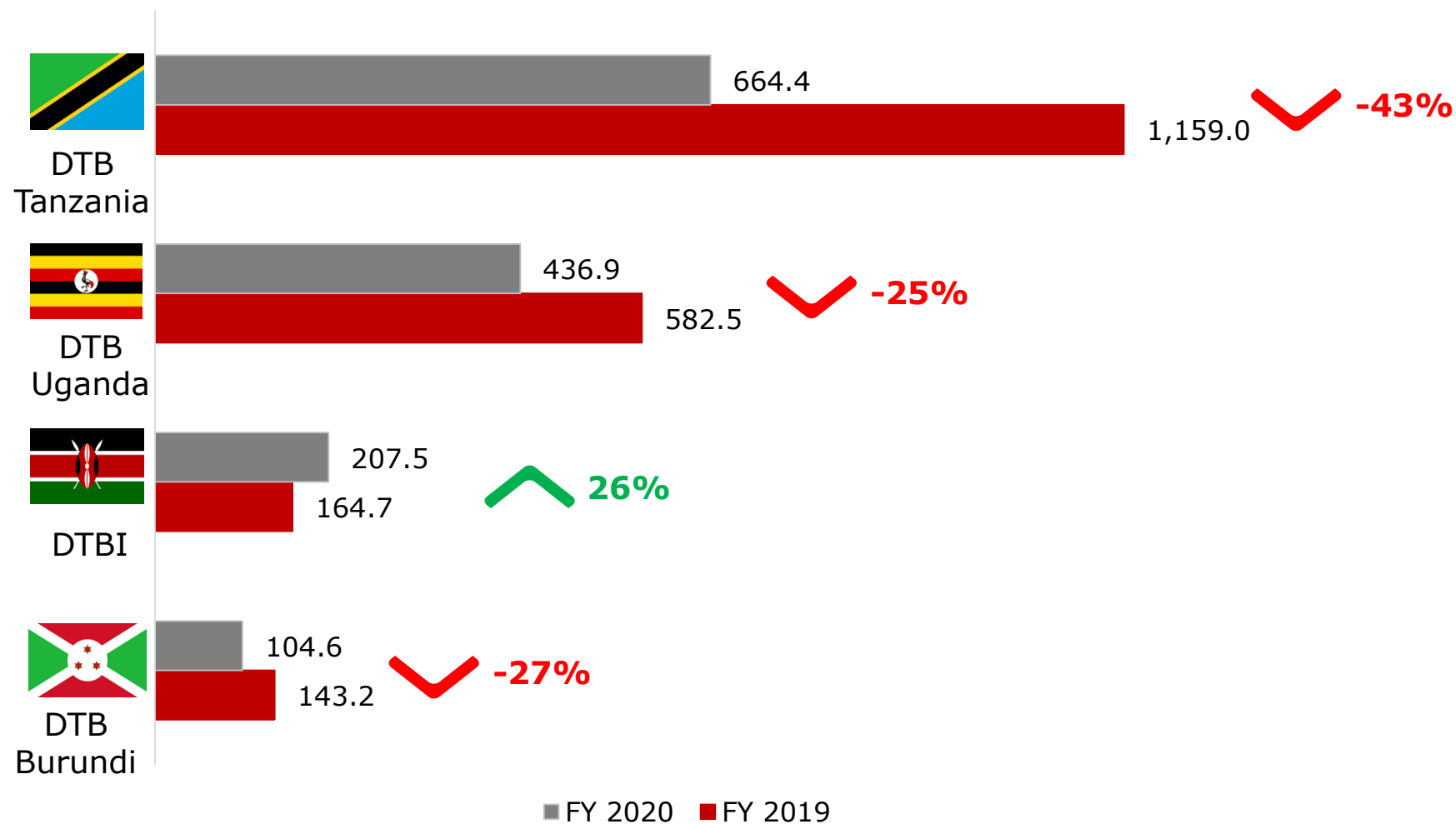
Operating Expenses



Credit Impairment



Subsidiary PBT Contribution (KShs Mn)

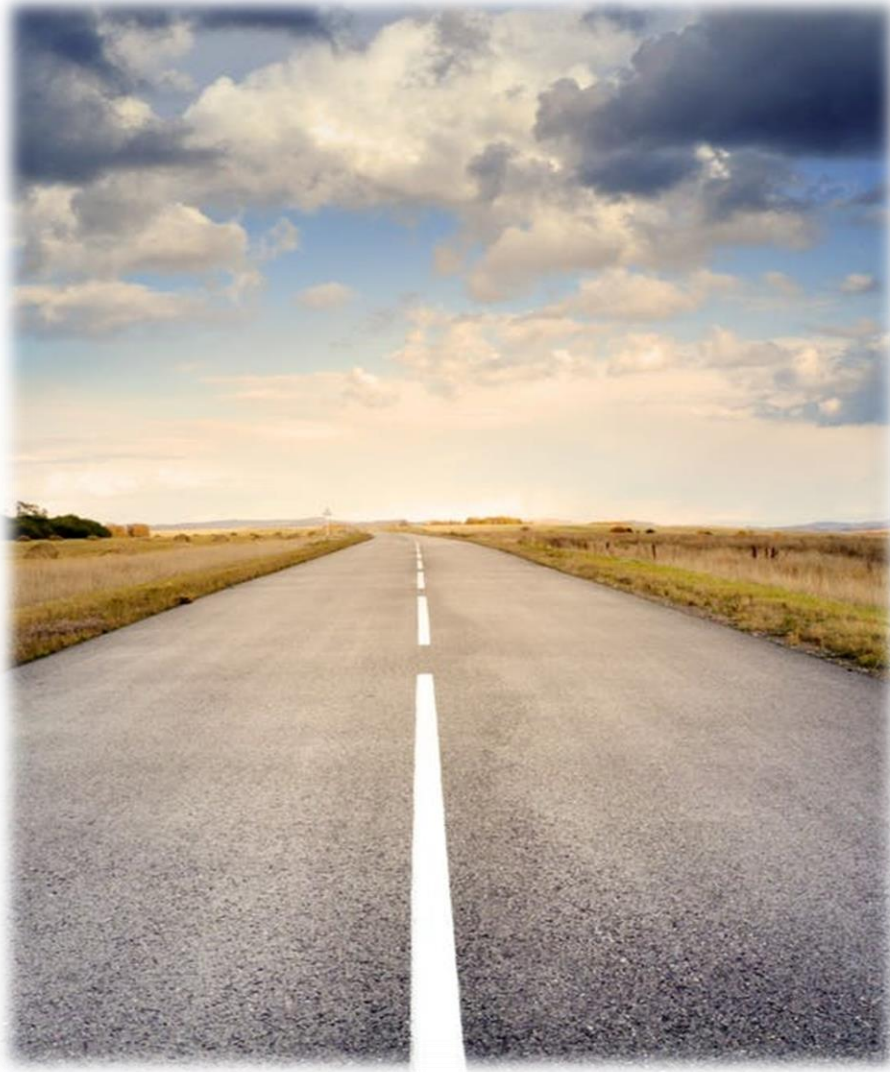


27% of Group PBT contributed by subsidiaries

KEY FINANCIAL RATIOS

FINANCIAL
OS

		FY 2018	FY 2019	FY 2020		FY 2018	FY 2019	FY 2020
	Kenya				Group			
Return on Equity	12.8%	11.5%	5.7%		13.1%	12.1%	5.4%	
Return on Asset	2.1%	2.0%	1.0%		1.9%	1.9%	0.94%	
NPL Ratio	6.3%	6.9%	11.7%		6.0%	6.6%	10.1%	
NPL Coverage Ratio	43.0%	34.1%	43.3%		44.6%	33.2%	43.3%	
Cost of Risk	1.0%	-0.0%	3.2%		1.3%	0.6%	3.4%	
Fee Income Ratio	16.8%	20.1%	23.7%		19.7%	23.5%	23.2%	
Net Interest Margin	5.4%	5.2%	4.7%		6.2%	5.9%	5.2%	
Cost to Income	35.8%	42.0%	40.0%		44.0%	46.5%	49.1%	
Loan to Deposit	66.5%	77.8%	65.9%		64.4%	73.6%	63.6%	



- Cautious optimism on economic rebound.
- Similar rate of balance sheet growth.
- NIMS broadly similar to 2020.
- Continued efforts to reduce DTB's cost of funds.
- Lower interest yield.
- Continued focus on fee income driven by digital products and services offerings.
- Overheads to be tightly controlled with gradual decline in cost to income ratio.
- Cost of Risk to remain at elevated levels.

Forward-looking statements are not statements of fact, but statements made by the Group based on our current estimates, projections, expectations, beliefs and assumptions regarding the Group's future performance. No assurance can be given that forward-looking statements will be correct and undue reliance should not be placed on such statements. These statements, by their nature, involve risk and uncertainty, as they relate to events and depend upon circumstances that may or may not occur in the future. Factors that could cause actual future results to differ materially from those in the forward-looking statements include, but are not limited to, changes in (a) global and national economic conditions, (b) our trading environment, (c) future strategies as contained in our strategic priorities and plans included in the strategic trends, (d) interest rates, (e) credit conditions and the associated risks of lending, (f) actual cash collections, (g) gross and operating margins, (h) capital management and (i) competitive and regulatory factors. The Group does not undertake to update or revise any of these forward-looking statements publicly, whether to reflect new information or future events or otherwise. The Group does not assume responsibility for any loss or damage arising as a result of the reliance by any party thereon, including, but not limited to, loss of earnings, profits, or consequential loss or damage.



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